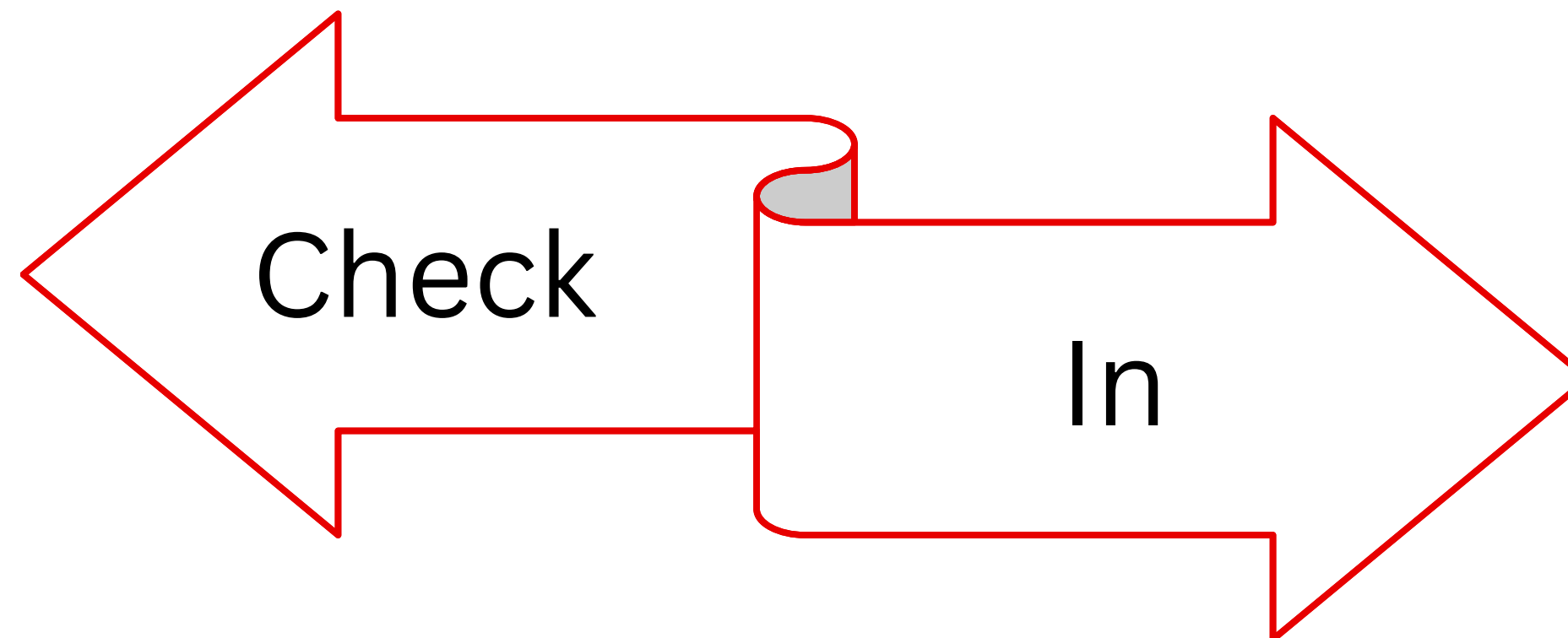


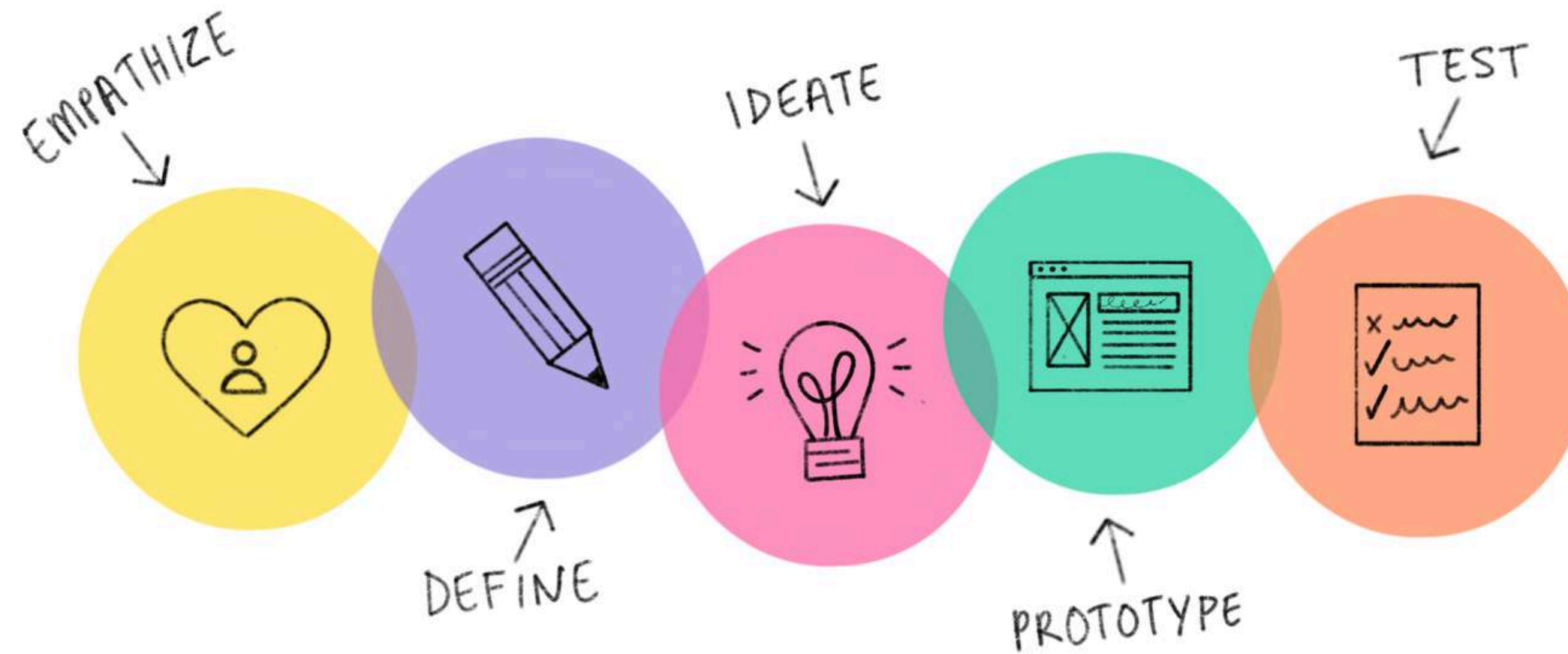
Seneca

POLYTECHNIC

Entrepreneurship Work Integrated Learning (EWIL) Program
Session Three - Ideation



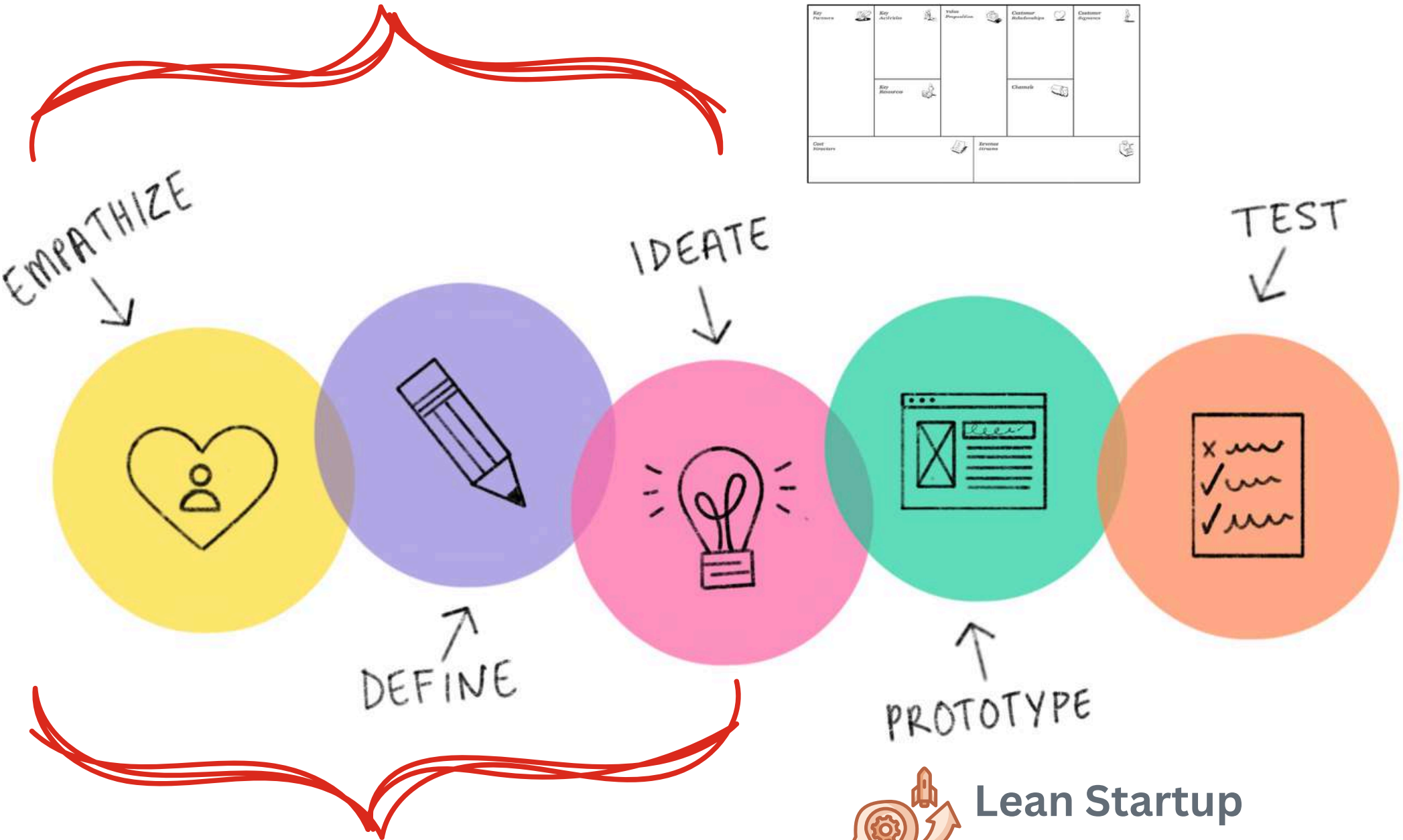
Design Thinking



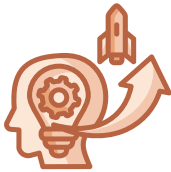
Business Model Canvas

Key Partners	Key Activities	Value Proposition	Customer Relationships	Customer Segments
	Key Resources		Channels	
Cost Structure	Revenue Streams			

 User Persona



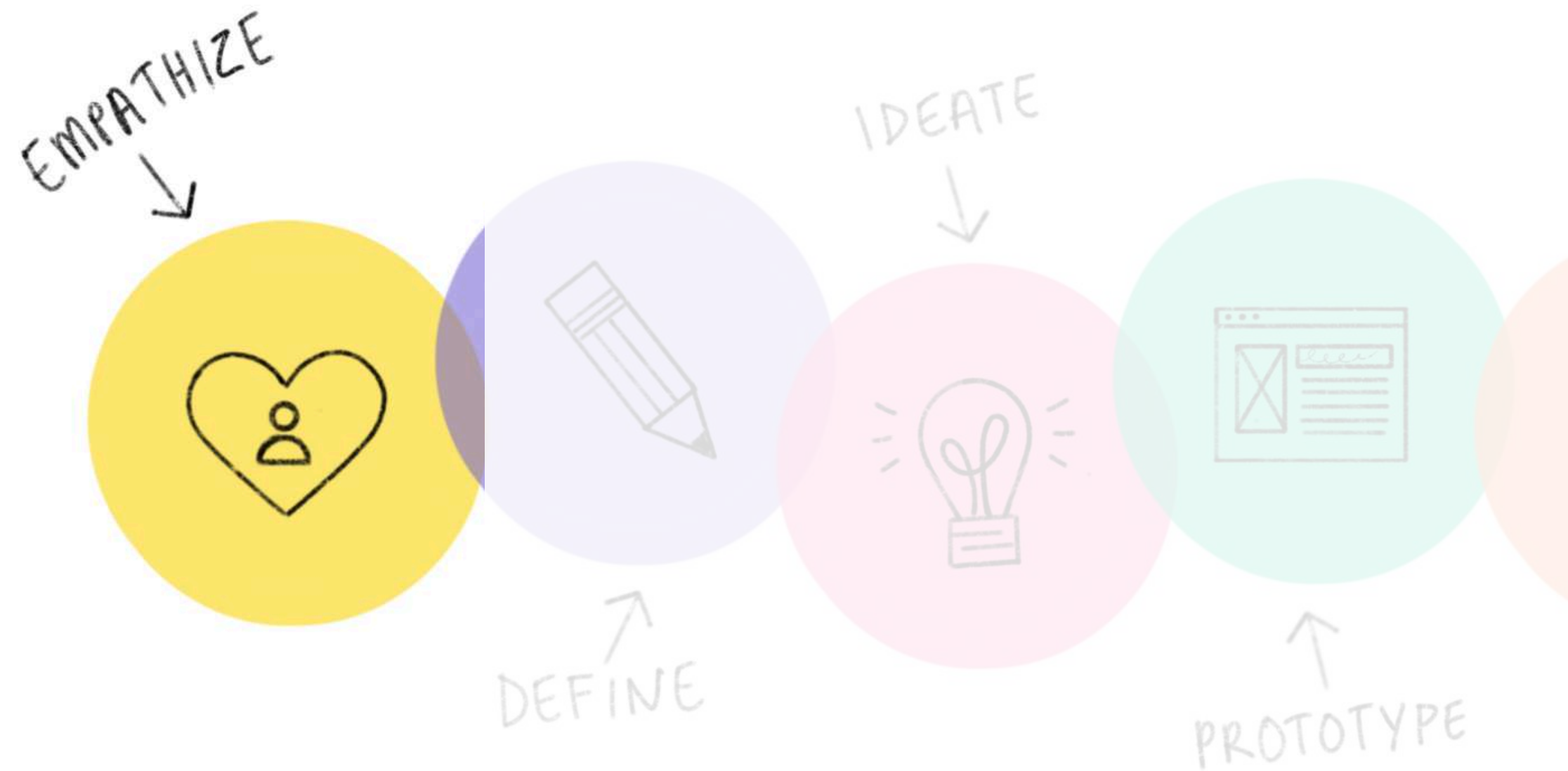
Problem Statements
and Market Research



Lean Startup
Methodology

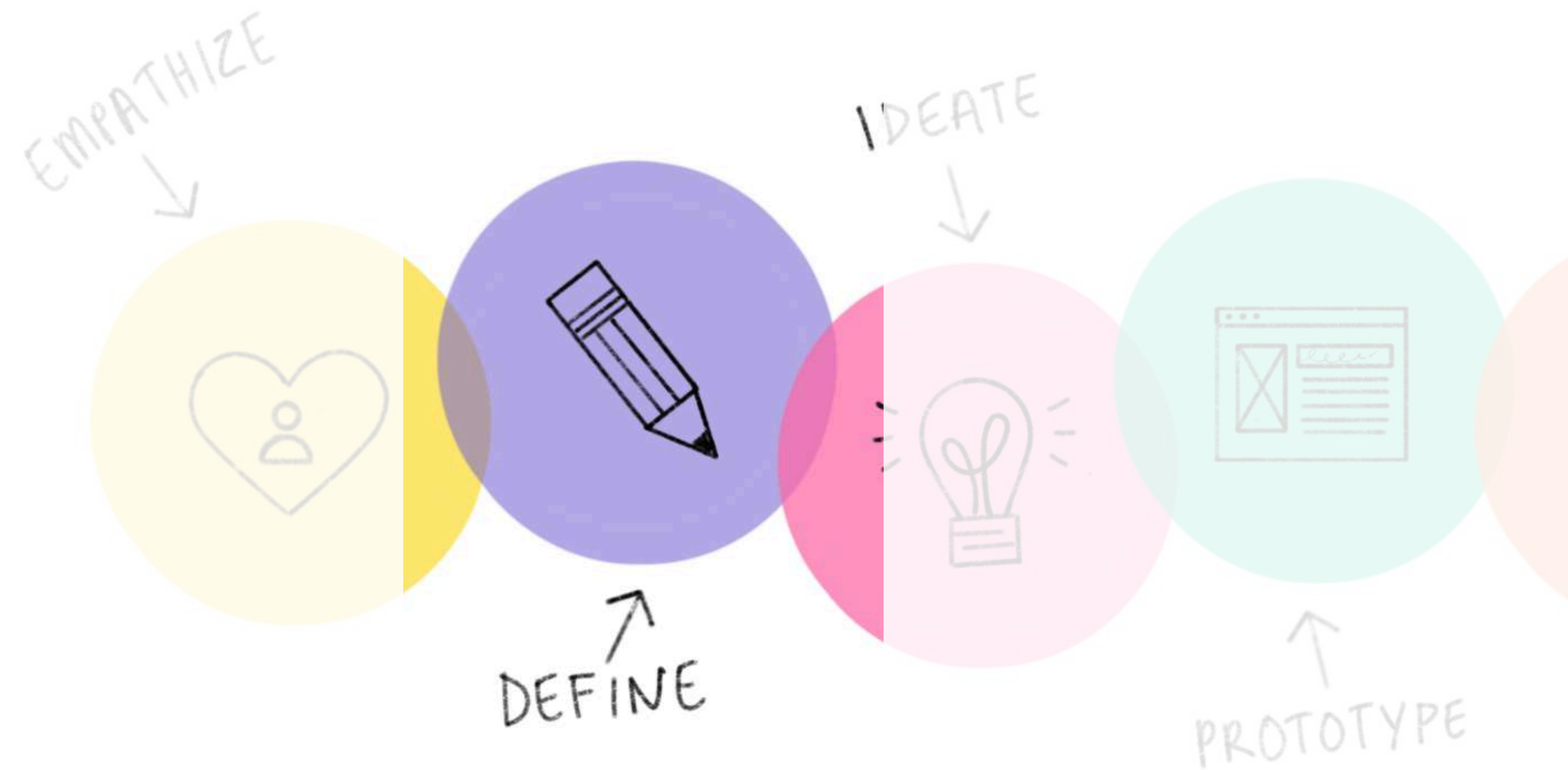
Empathize

Develop a deep understanding of the challenge/problem.



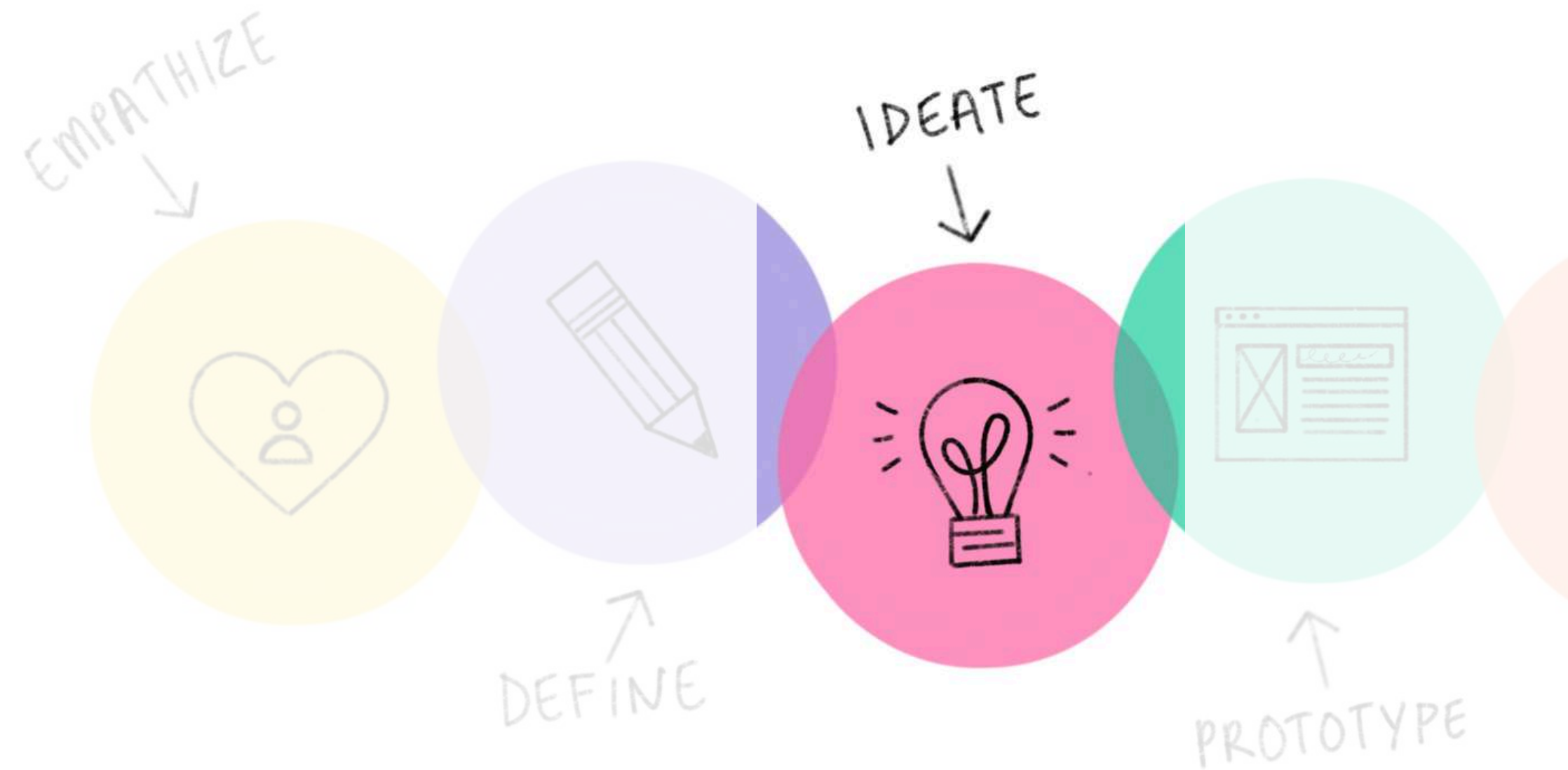
Define

Clearly articulate the problem you want to solve.



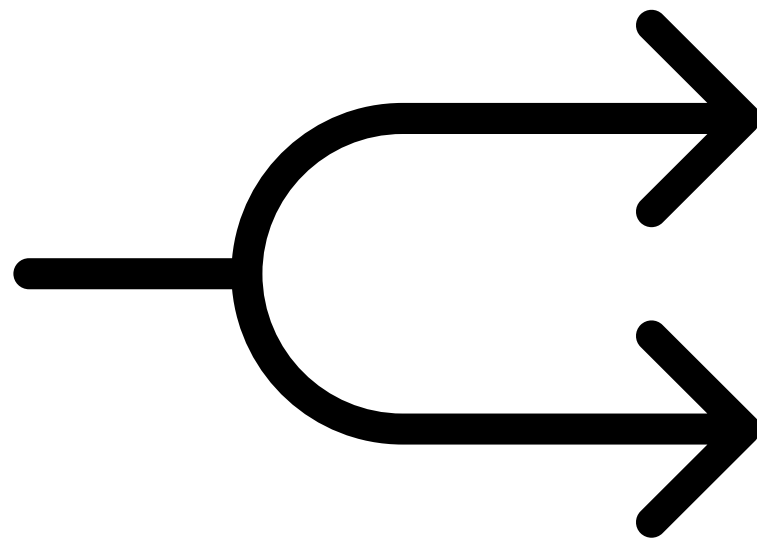
Ideate

Brainstorm potential solutions; select and develop your solution.



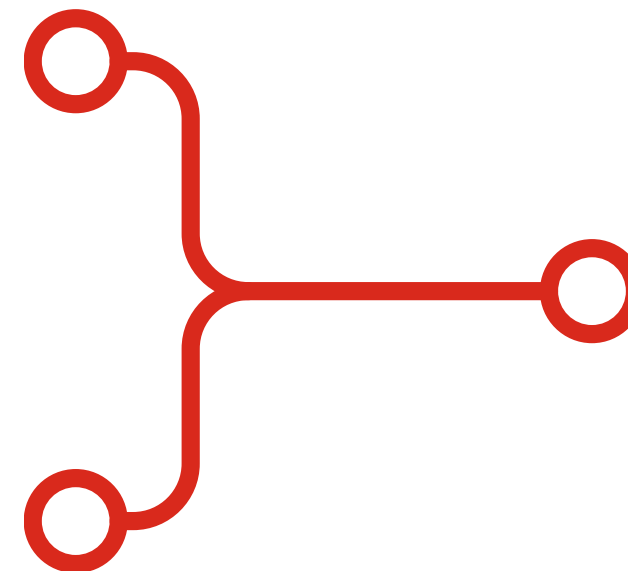
Divergence

Thinking of many ideas



Convergence

Making connections between ideas



Divergence

When it comes to divergent thinking strive for quantity.

- More ideas produce better solutions
- Seek unusual ideas
- The wilder the better
- Defer judgement
- Build on other ideas
- Let one idea spur the next



Quantity

Consider a number of ideas, options, solutions, generated for an open-ended question. Keep writing down as many ideas as possible, take a break, then return and try to come up with even more.



Unusual

Intentionally seek unusual ideas and push beyond the familiar. Embrace even those that seem wild or far-fetched.



Defer Judgement

Divergent thinking relies on speed - prevent overthinking.

- What would a being on Pluto do?
- What might get us in trouble?
- Is this legal?
- Has someone done this before?



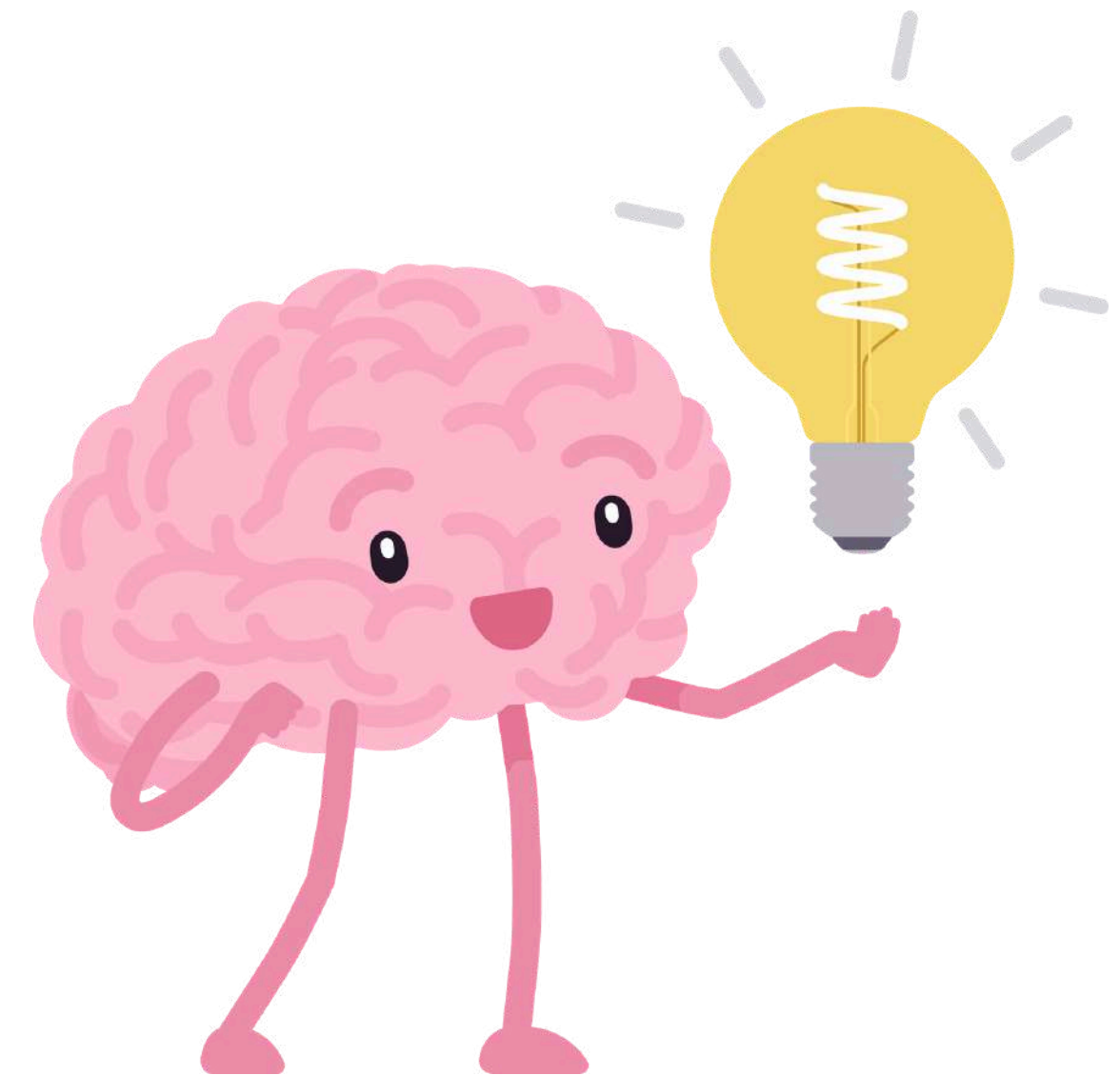
Build On Others

Add details to ideas you have thought of. Improve them. Change them. Flip them. Rearrange them.



Questions to spark ideas

Where can we find comparable issues?
What would an ideal or not ideal outcome resemble?
What solutions have been attempted previously?
Who else is affected or involved?
How does this challenge influence people's emotions?
And, what makes this situation feasible?

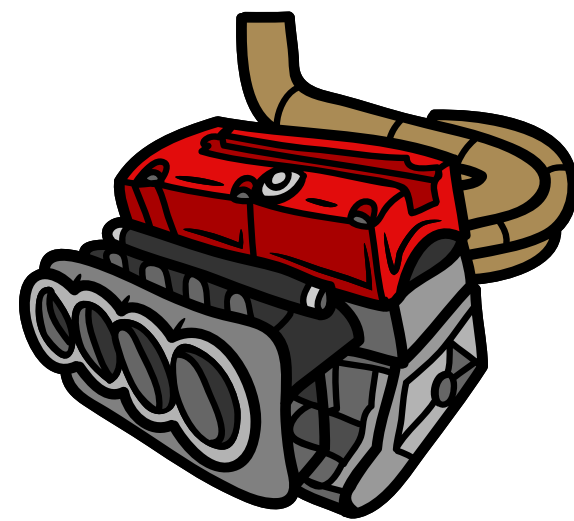


Class Activity

What is Systems Thinking?

Systems thinking is approaching complex problems and innovating by considering the entirety of the environment, person, organization, or object.

The systems should be viewed as a whole, rather than a compartmentalized parts.



A system is...

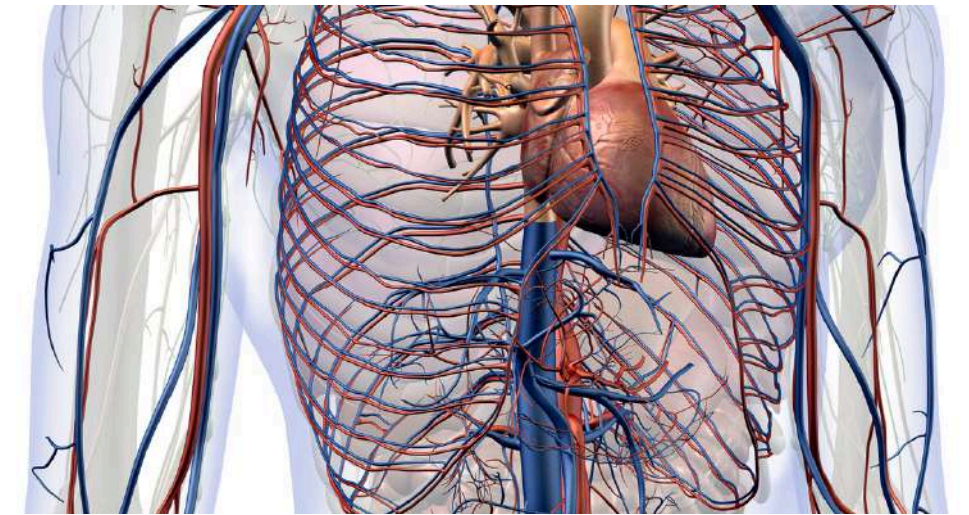
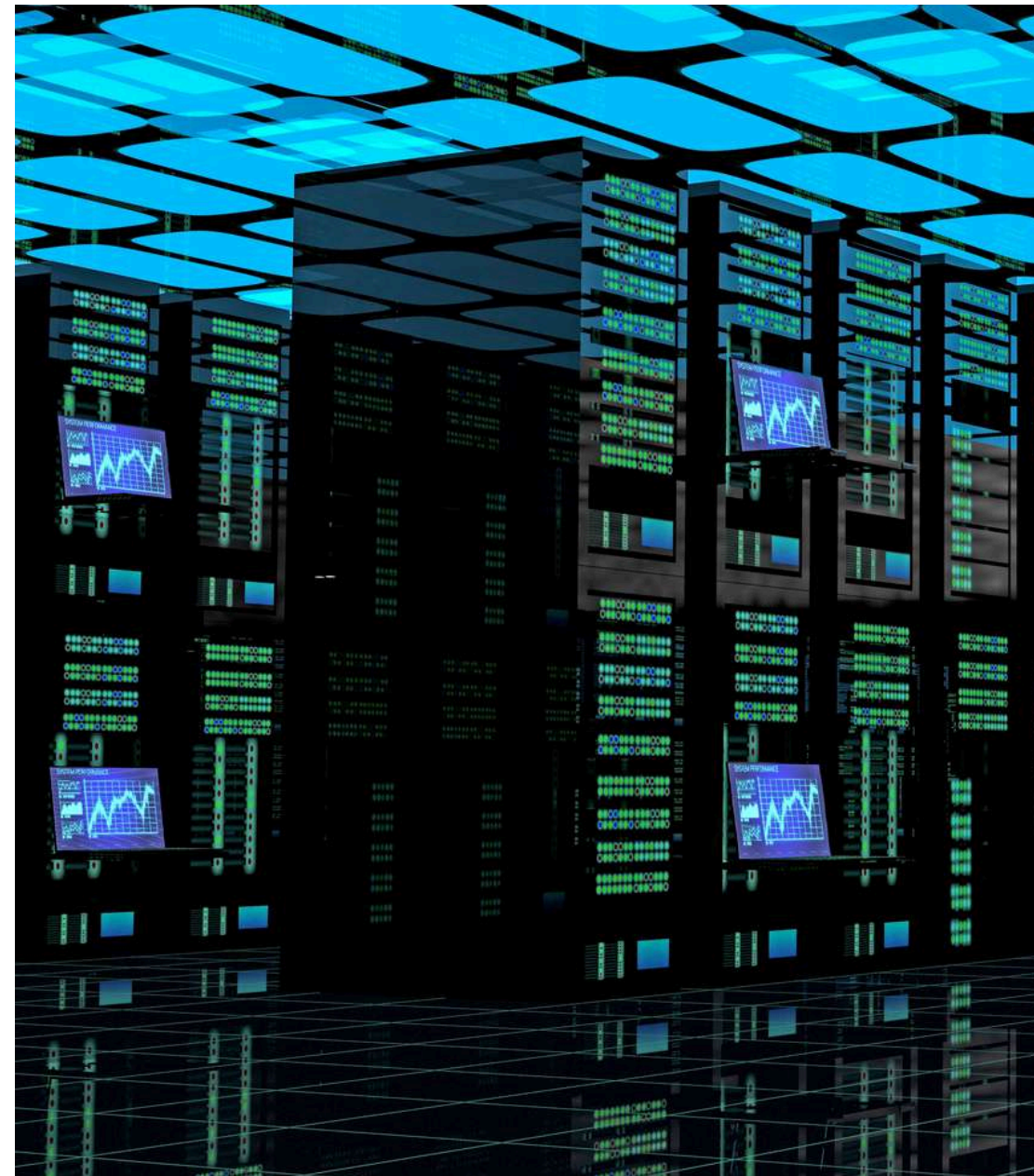
- A system consists of a collection of elements (objects).
- Each element interacts with others within the system.
- The overall behavior of the system arises from these interactions.
- The system is defined by a boundary that distinguishes what is included in the system from what is not.

Analysis and **Problem-Solving**

Systems Thinking

Class Activity

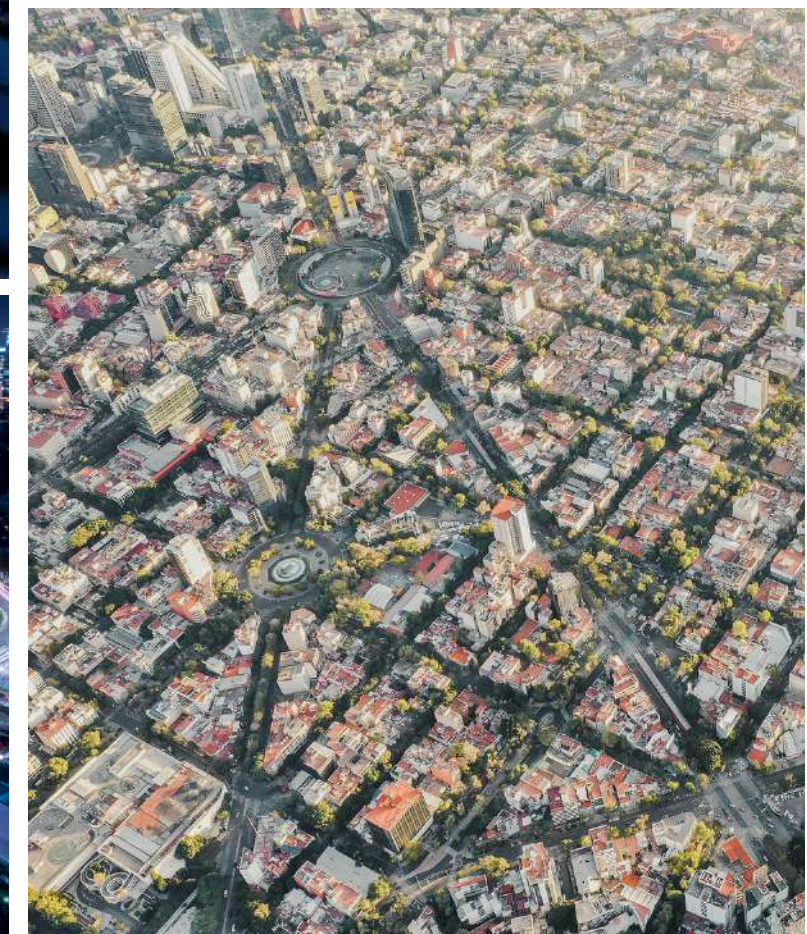
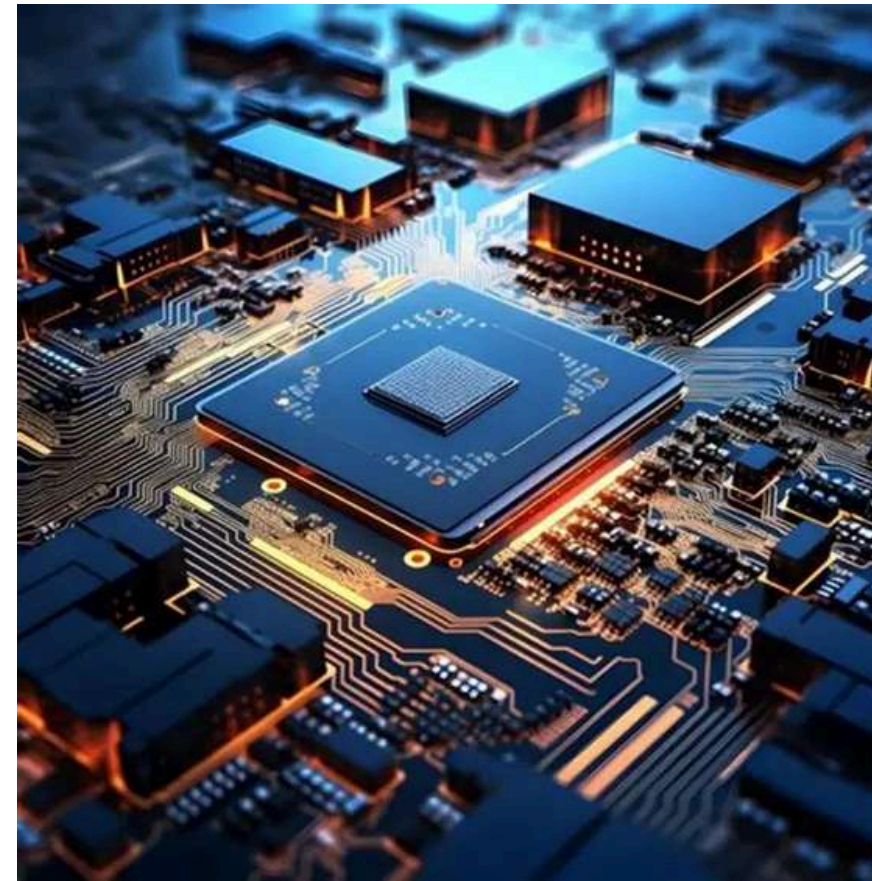
**Take inspiration
and gain insights
from both
similarities and
differences.**



Systems Thinking

Class Activity

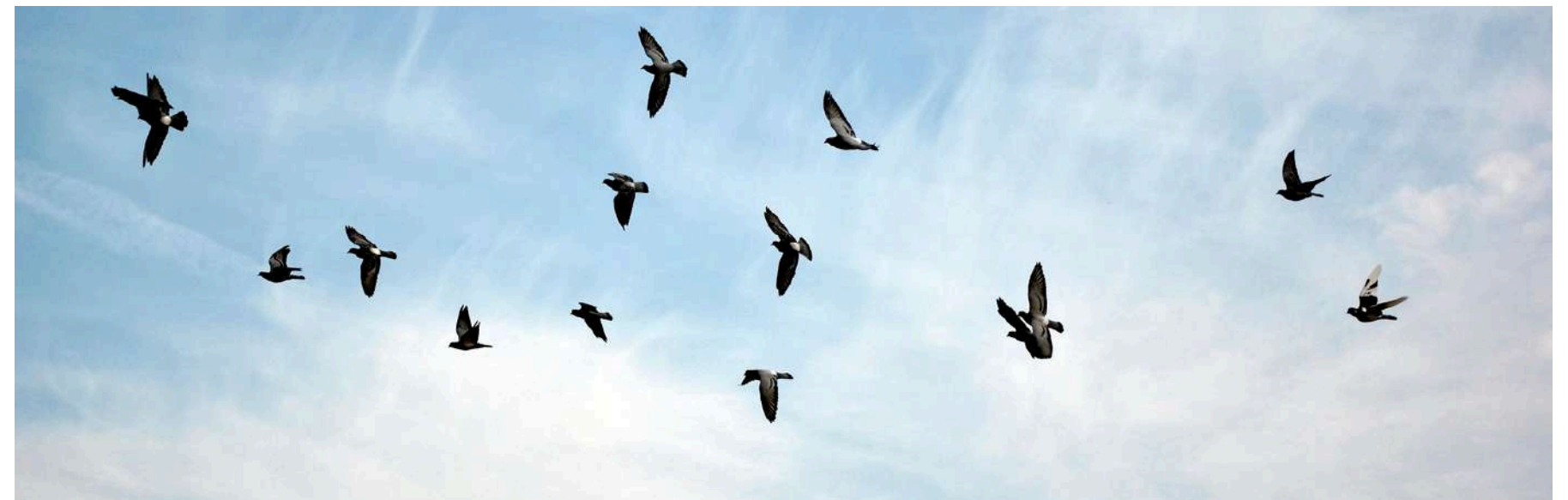
**Take inspiration
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Systems Thinking

Class Activity

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Class Activity

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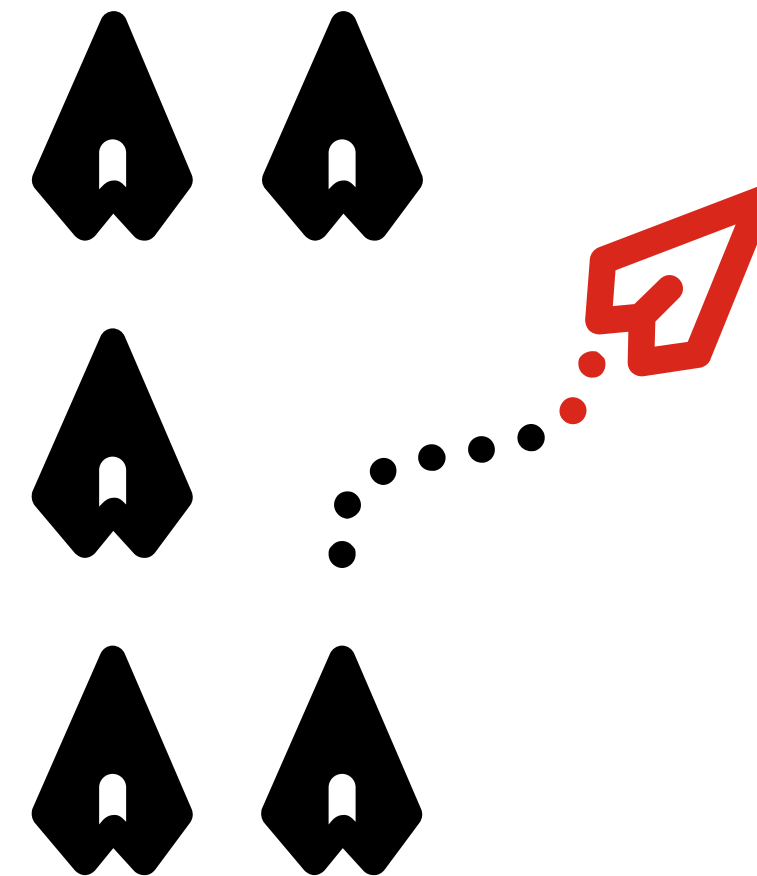


Why Systems Thinking?

- Steer clear of unintended or unforeseen outcomes
- Grasp how the entire system reacts to both deliberate and unanticipated changes
- Comprehend how the system functions within the broader world it exists in
- Recognize how each component influences the behavior of the entire system

Understand the structure of systems

- A vast array of systems and elements exists in our surroundings.
- Different types of elements reveal new opportunities and inspire fresh approaches.
- Recognizing potentially disruptive technologies, products, or services can provide a solid foundation for a business venture.



Systems thinking can be used to...

- Recognize and draw inspiration from systems and elements that share a **common purpose** but **differ in nature**.
- By identifying both similarities and specifics, you can enhance the pool of ideas for your venture.



Class Activity

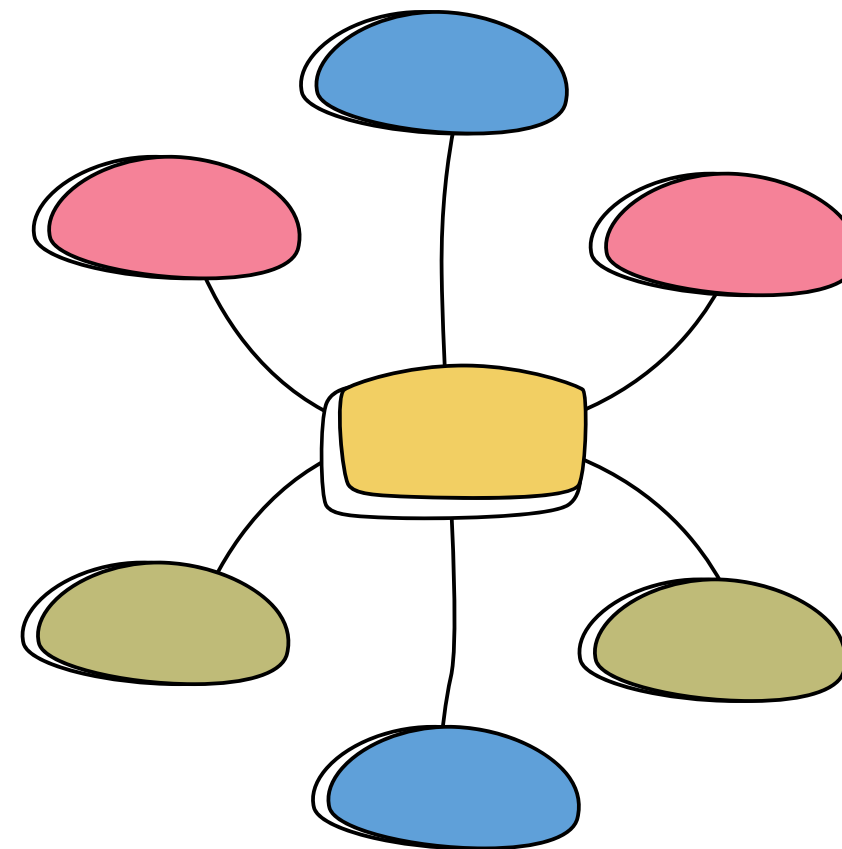
How might Airbnb effect the system it's in?



Mind Mapping

Mind mapping is a visual tool for organizing and structuring information around a central concept using branches and keywords. Low investment - high rewards.

Goal: To enhance creativity and build on ideas.



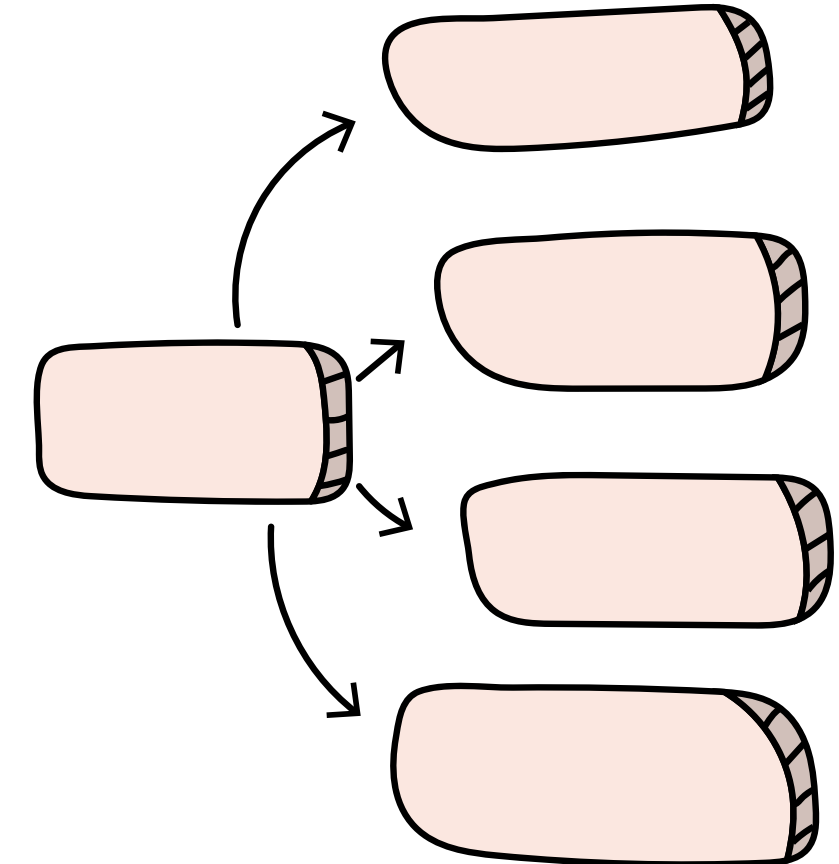
Key Features of Mind Map

Central Idea: A single, core concept is placed at the center of the map.

Branches: Main ideas radiate outward from the central idea in the form of branches.

Keywords: Each branch can be labeled with a keyword or phrase, representing a main topic or subtopic.

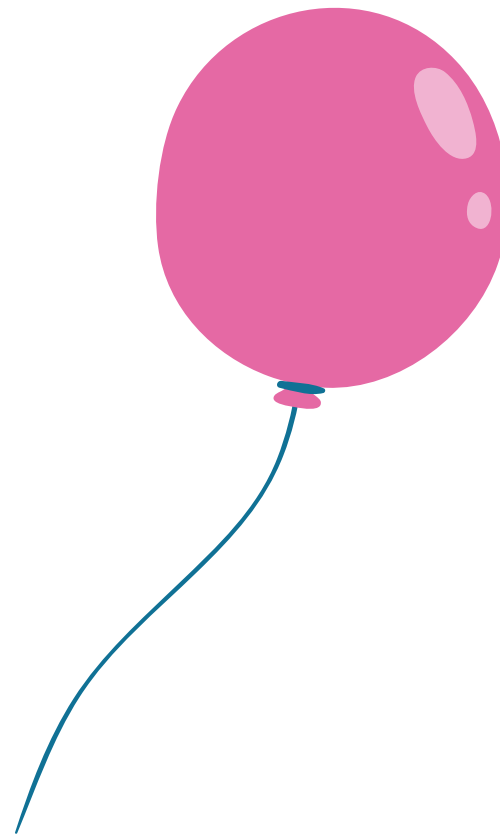
Use of colors and images: Colors, icons, and images can be added to help distinguish between branches.



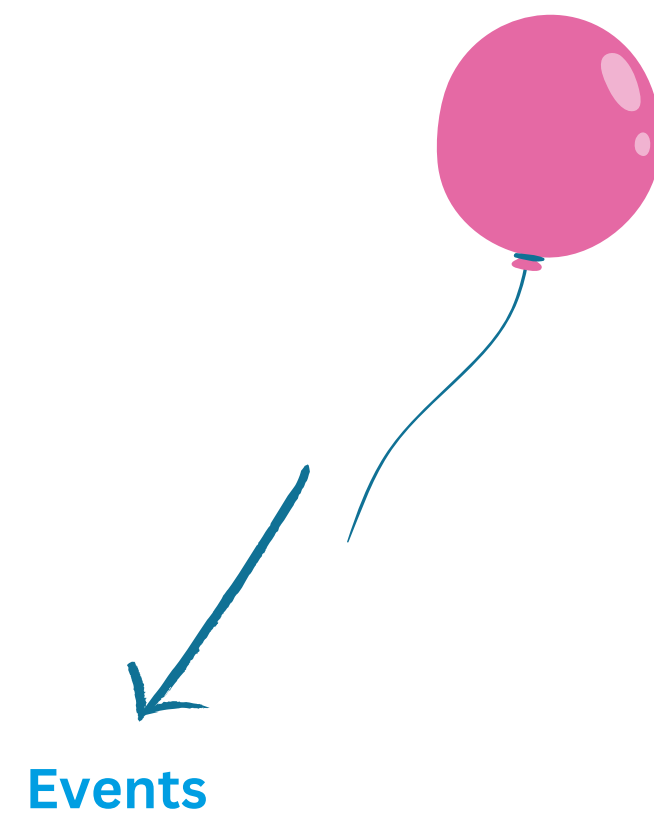
Brainstorming Techniques

Class Activity

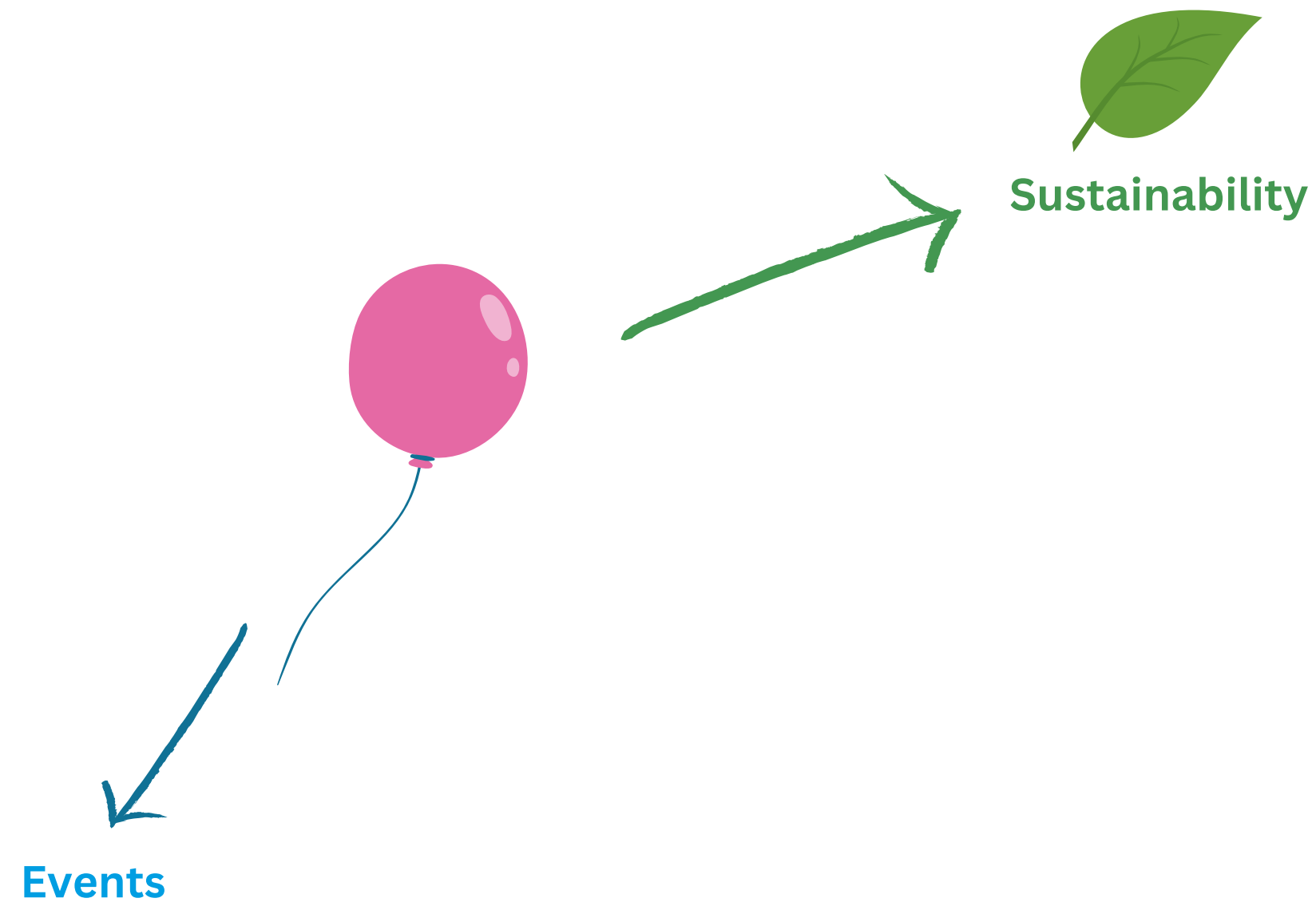
How can we improve the sales and differentiate a pink balloon product?



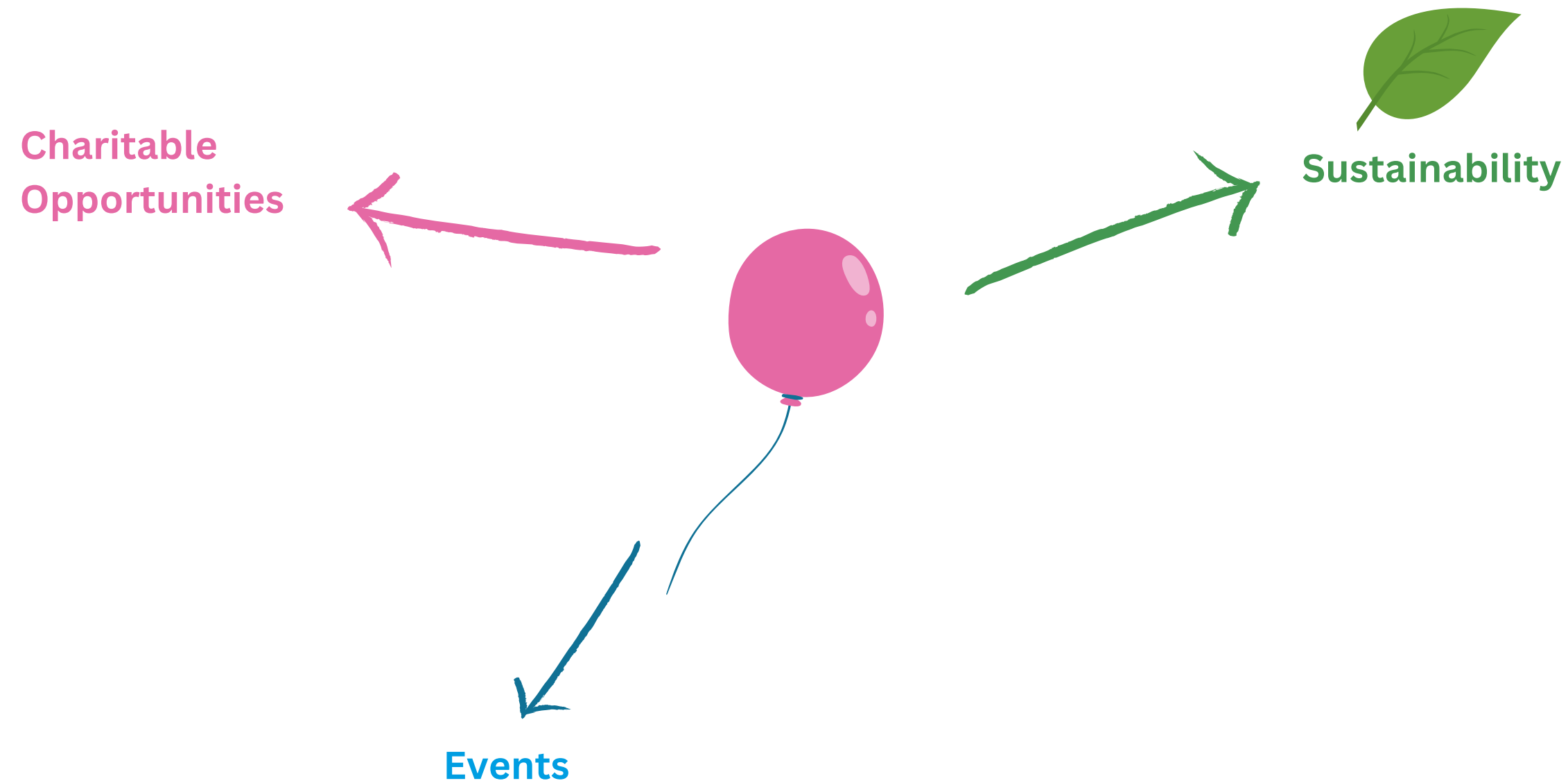
Brainstorming Techniques



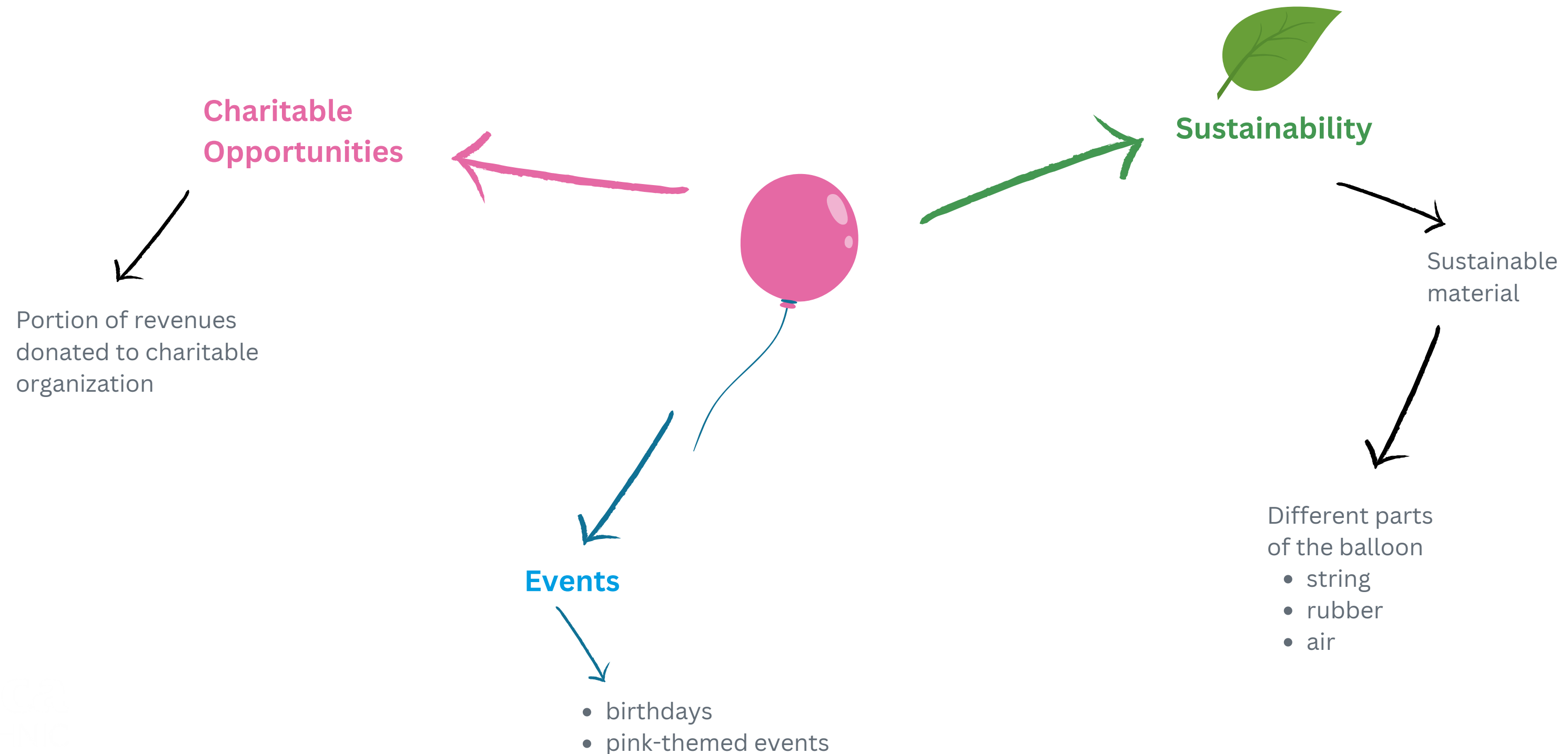
Brainstorming Techniques



Brainstorming Techniques



Brainstorming Techniques



SCAMPER

How it works: SCAMPER is a technique where you think of ways to improve or change an existing product or service by applying seven prompts:

- **S**ubstitute
- **C**ombine
- **A**dapt
- **M**odify
- **P**ut to another use
- **E**liminate
- **R**earrange

Class Activity - 5 to 10 minutes

Let's apply SCAMPER to a flip phone:

Come up with 1-3 ideas for each letter.



Storyboarding

Create a visual narrative or series of images that illustrate the user's journey or the interaction with a product or service.

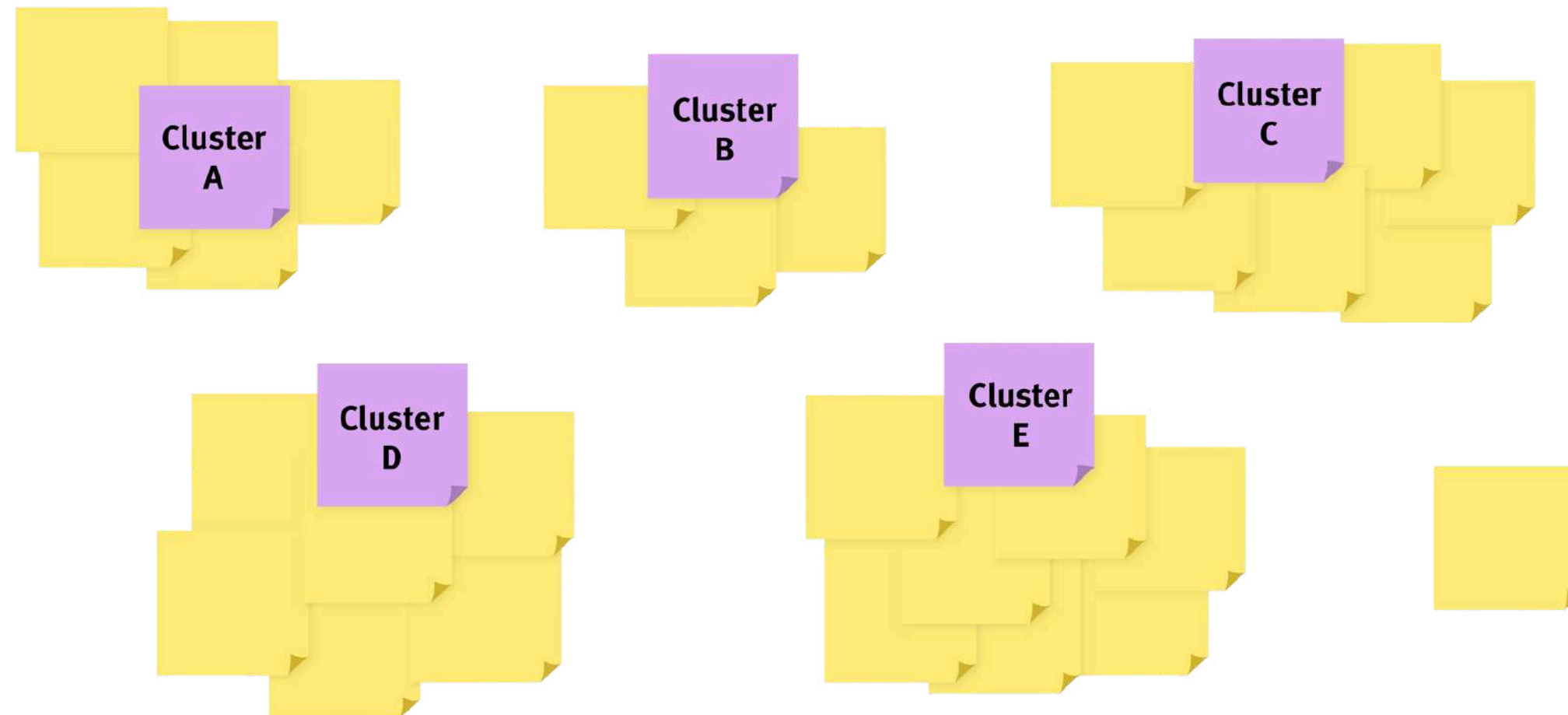


Convergent Thinking

Now bring your ideas together. Connect the dots between elements, spotting patterns, highlighting affinities, and mixing and matching hypothesis. Use convergent thinking to arrive at unique and strategic solutions.

Convergent Thinking

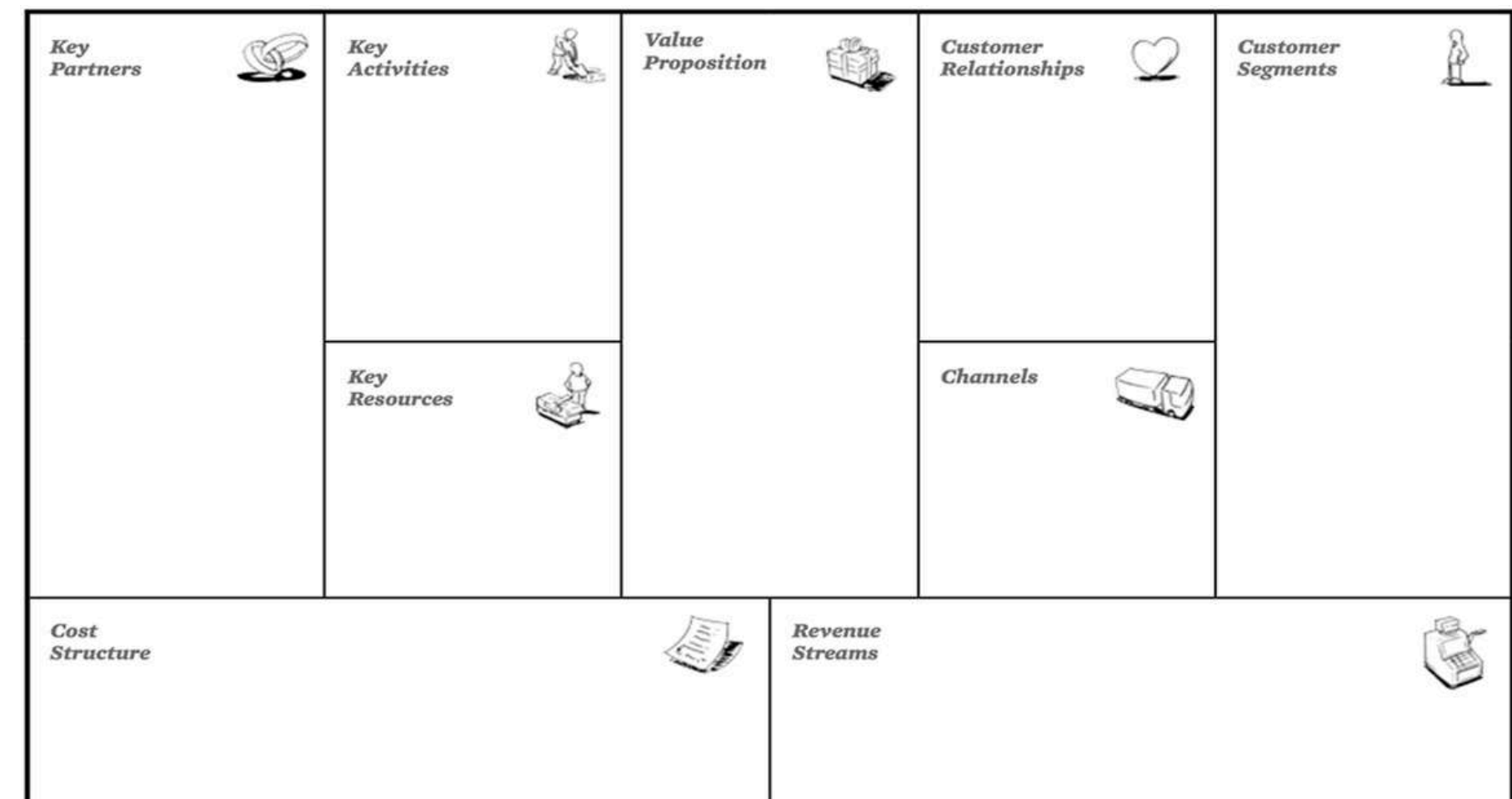
Affinity Diagramming



Business Model Canvas

The BMC is a strategic management tool that helps visualize and assess a business idea or concept. It condenses essential aspects of a business model into a single-page document, making it easier to understand and communicate.

This one-page tool provides a high-level, comprehensive view of the nine strategic areas required to successfully bring a product to market.



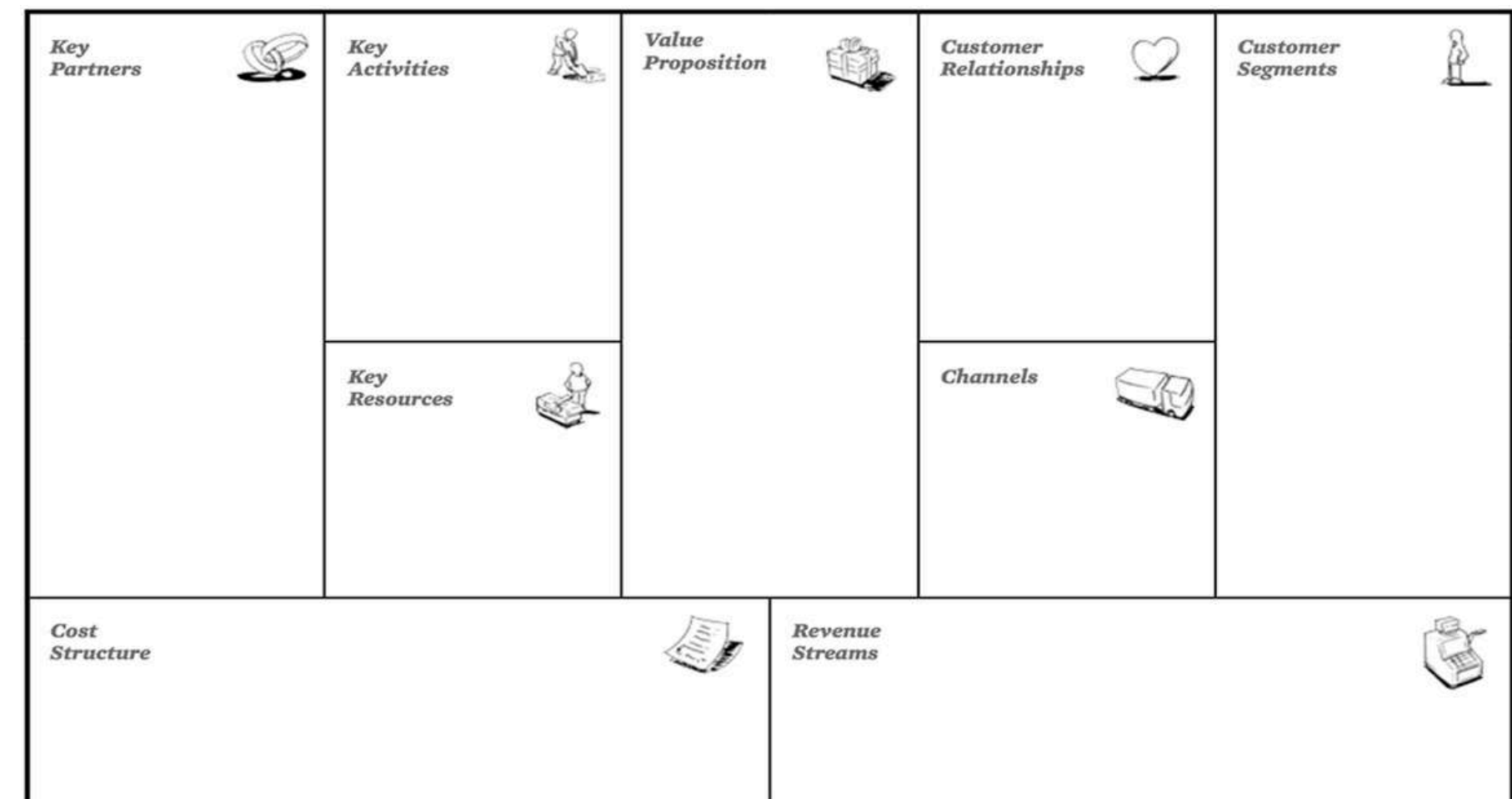
Business Model Canvas

Unlike traditional lengthy business plans, the BMC provides a quick outline of the business model without unnecessary details.

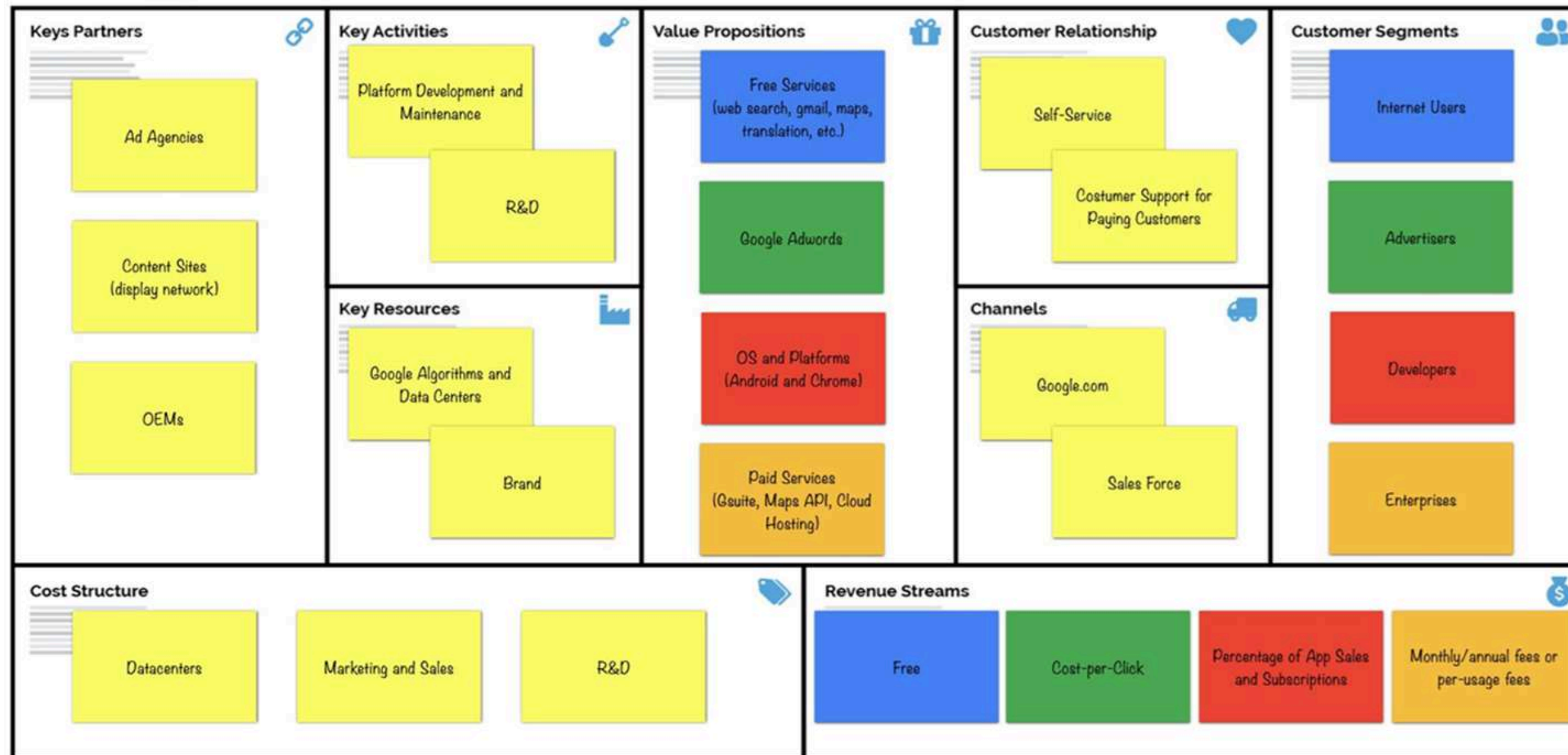
Holistic Understanding: It ensures that teams consider all necessary components and identify areas for improvement.

Action-Oriented: Encourages businesses to identify activities and initiatives to improve their model and drive growth.

Collaboration: Enables effective alignment and collaboration within the team



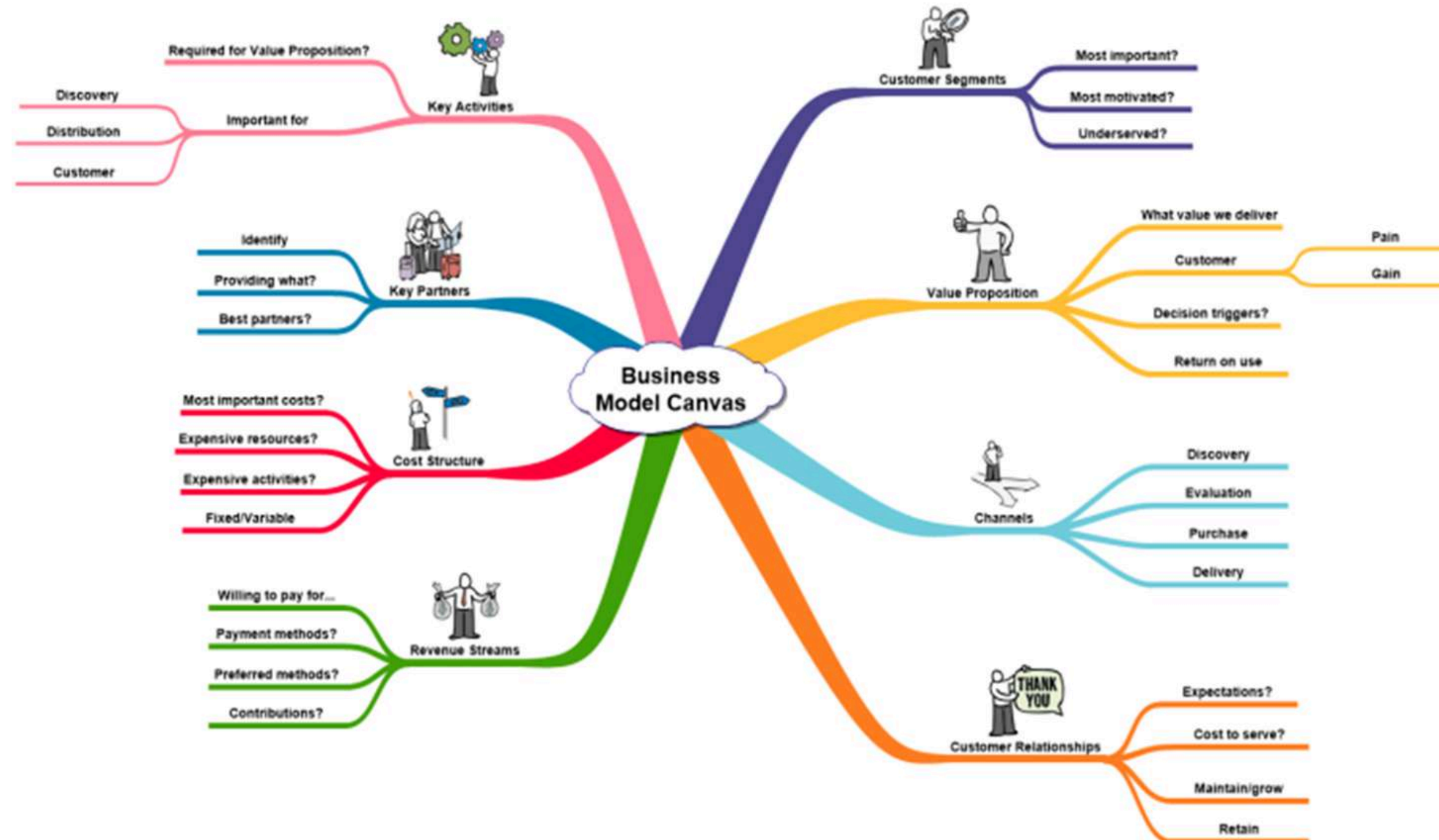
Business Model Canvas



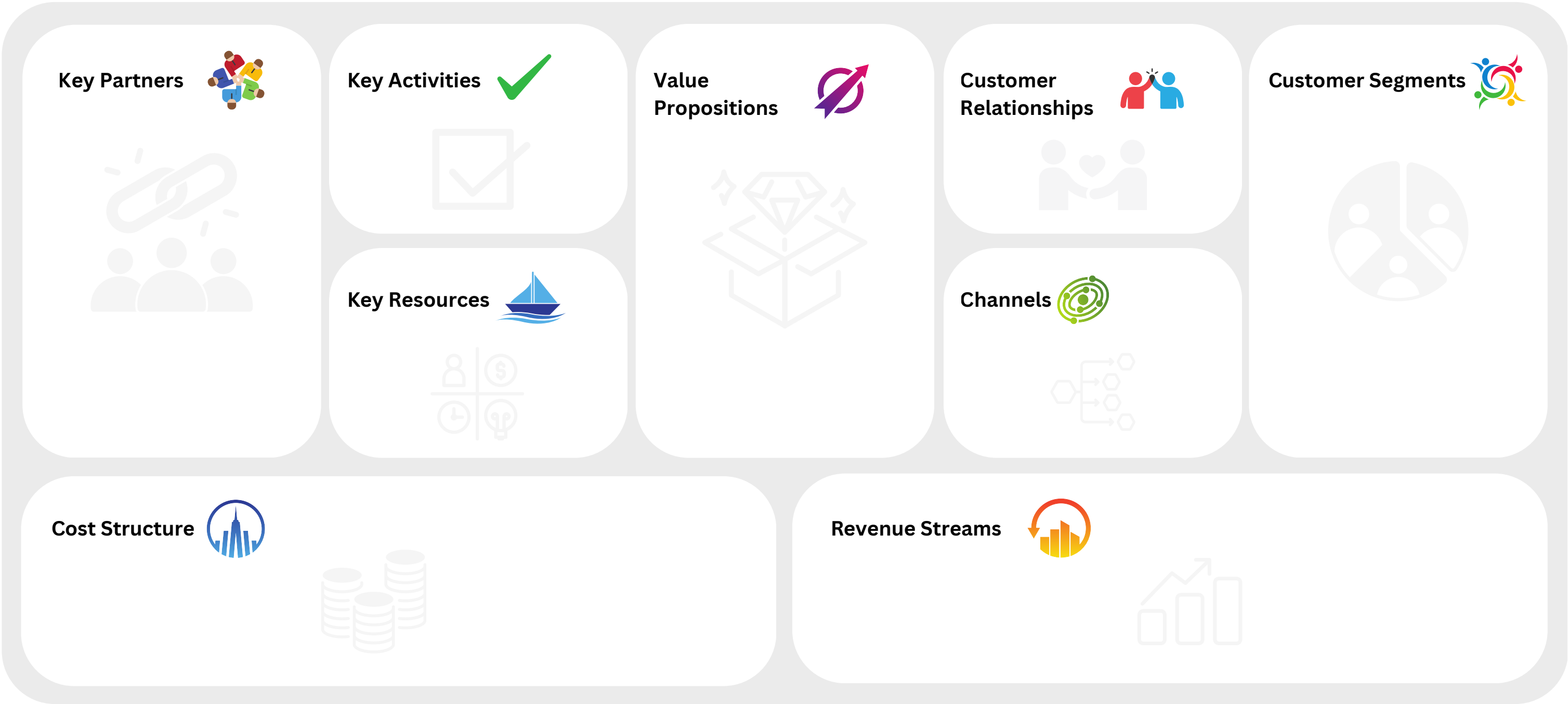
The Social Business Model Canvas

IMPLEMENTATION		SOCIAL VALUE PROPOSITION	MARKET	
 PARTNERS Who helps you to deliver your activities?	 DELIVERY What activities do you do? What resources do you own?	 What difference are you making?	 CUSTOMER SEGMENTS How do you work with people who buy your product/service? Who are the people that benefit?	 MACRO ECONOMIC ENVIRONMENT What are the economic, social and technological changes taking place that affect your market now and in the future?
 SALES + MARKETING What is your sales and marketing plan? How do you reach your customers?		 What social impact measures do you use?	 COMPETITORS Who else plays in your space Why are you different?	
FINANCE				
 COST OF DELIVERY		 SURPLUS Where do you intend to reinvest this?	 REVENUE	

Dynamic Business Plan



Business Model Canvas



Business Model Canvas

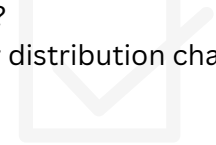
Key Partners

- Who are our Key Partners?
- What resources do we acquire?
- What activities do our partners perform?



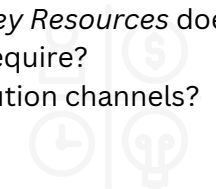
Key Activities

- What *Key Activities* does our value require?
- And our distribution channels?



Key Resources

- What *Key Resources* does our value require?
- Distribution channels?



Value Propositions

- What value do we deliver to our customers?
- Which one of our customer's problems are we helping solve?
- What customer needs are we satisfying?

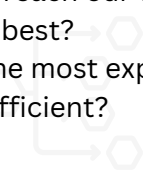


Customer Relationships

- What type of relationship does each of our customer segments expect us to establish and maintain with them?
- Which ones have we established?
- How costly are they?

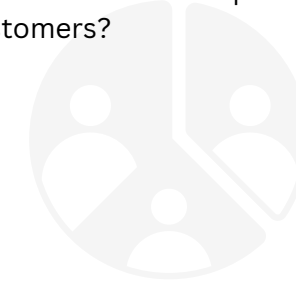
Channels

- How will we reach our customers?
- What works best?
- Which are the most expensive, and most cost-efficient?



Customer Segments

- For whom are we creating value?
- Who are our most important customers?



Cost Structure

- What are the most important costs inherent in our business model?
- Where are the expenses coming from?

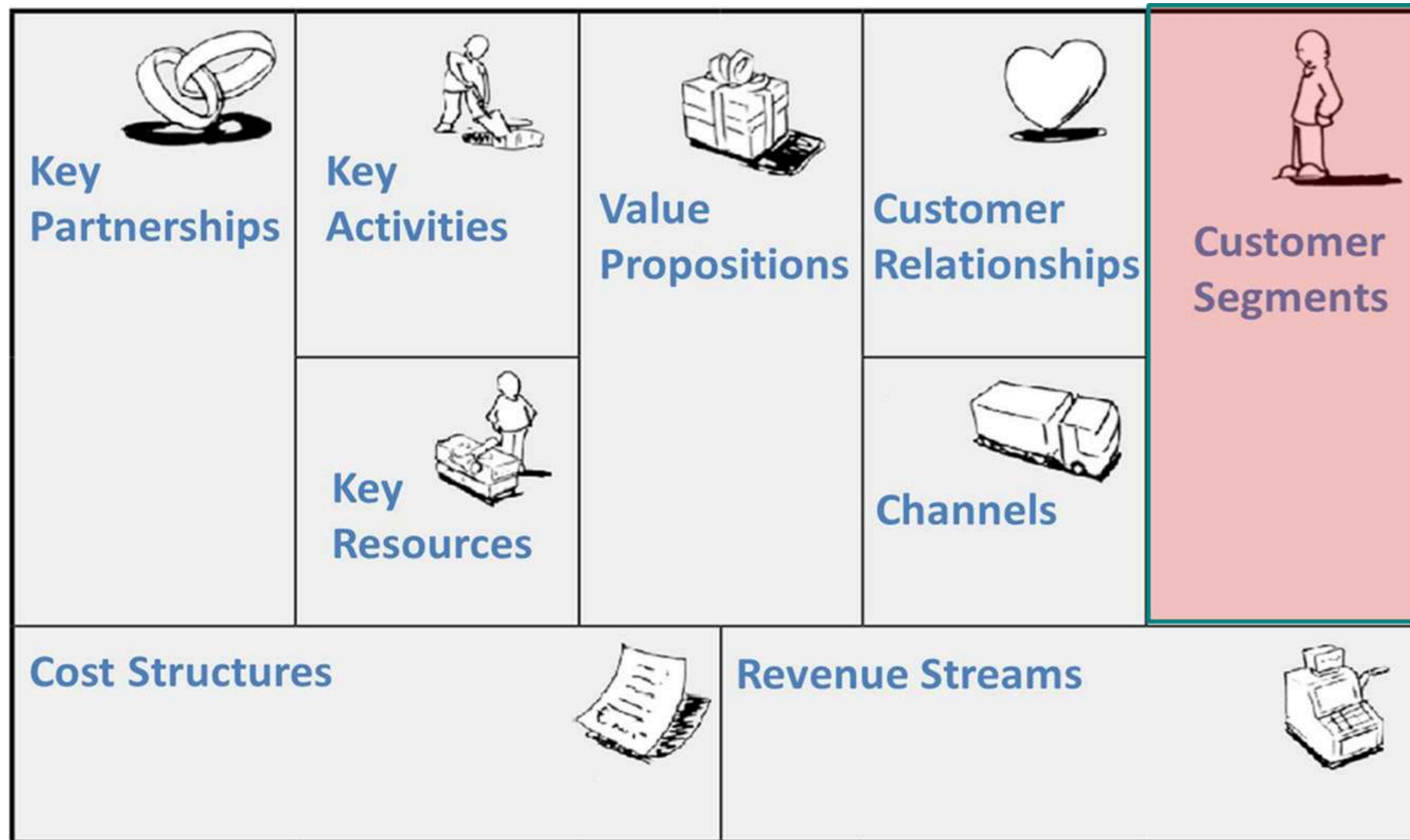


Revenue Streams

- For what value are our customers really willing to pay?
- For what do they currently pay?
- How do they prefer to pay?



Customer Segments



Customer Segments

Share a distinct need or problem.

Distinct Persona's within a segment.

Include any segment that has an influence on purchase decision.



Customer Segments

Niche: A customer segment that's catered to on a very specialized level. Your value proposition, channels & customer relationships of this customer.

Segmented: Customer segments with slightly different needs & problems.

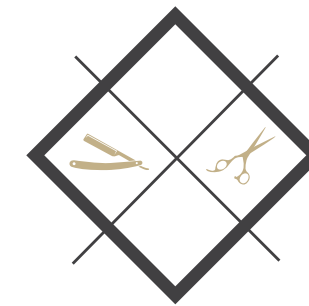
Diversified: Customer segments with significantly different needs & problems.

Mass: "Everybody!" Targeting all customers in a geographic area.

Find the Big Problem

You want to find a “hair on fire” problem, not a “nice to have” problem





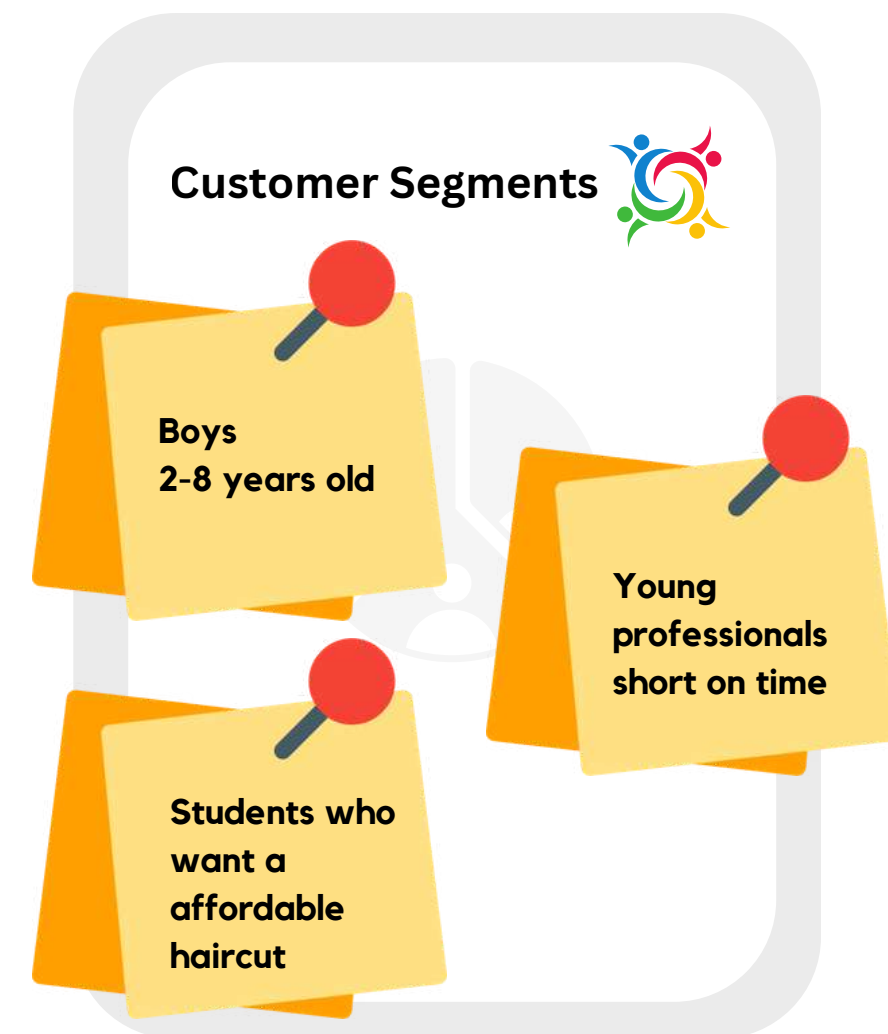
Customer Segments

A **barbershop** specializing in buzz cuts and shorter hairstyles for individuals who want a quick, high-quality grooming experience, *guaranteeing a haircut in under 20 minutes.*

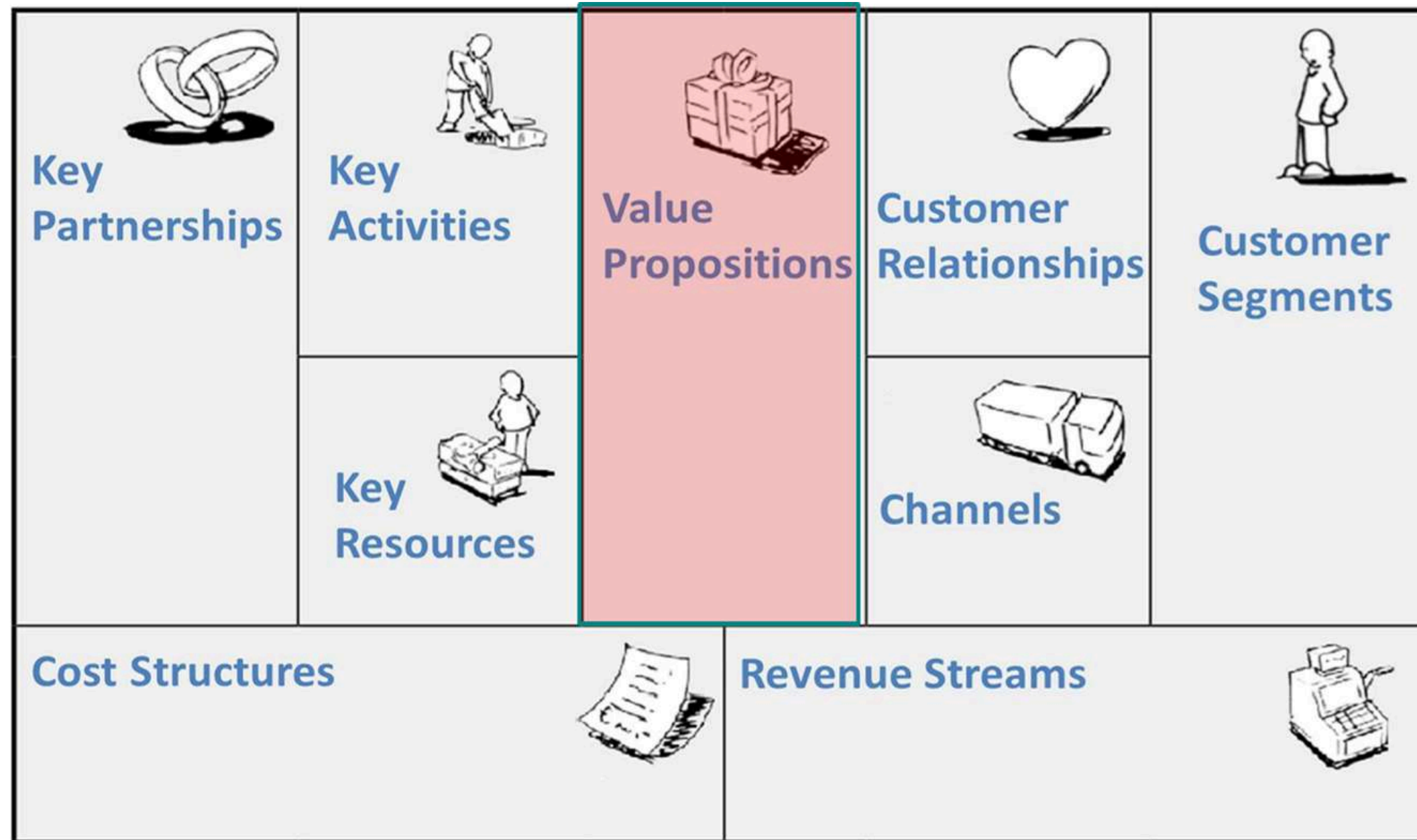


Customer Segments

- For whom are we creating value?
- Who are our most important customers?

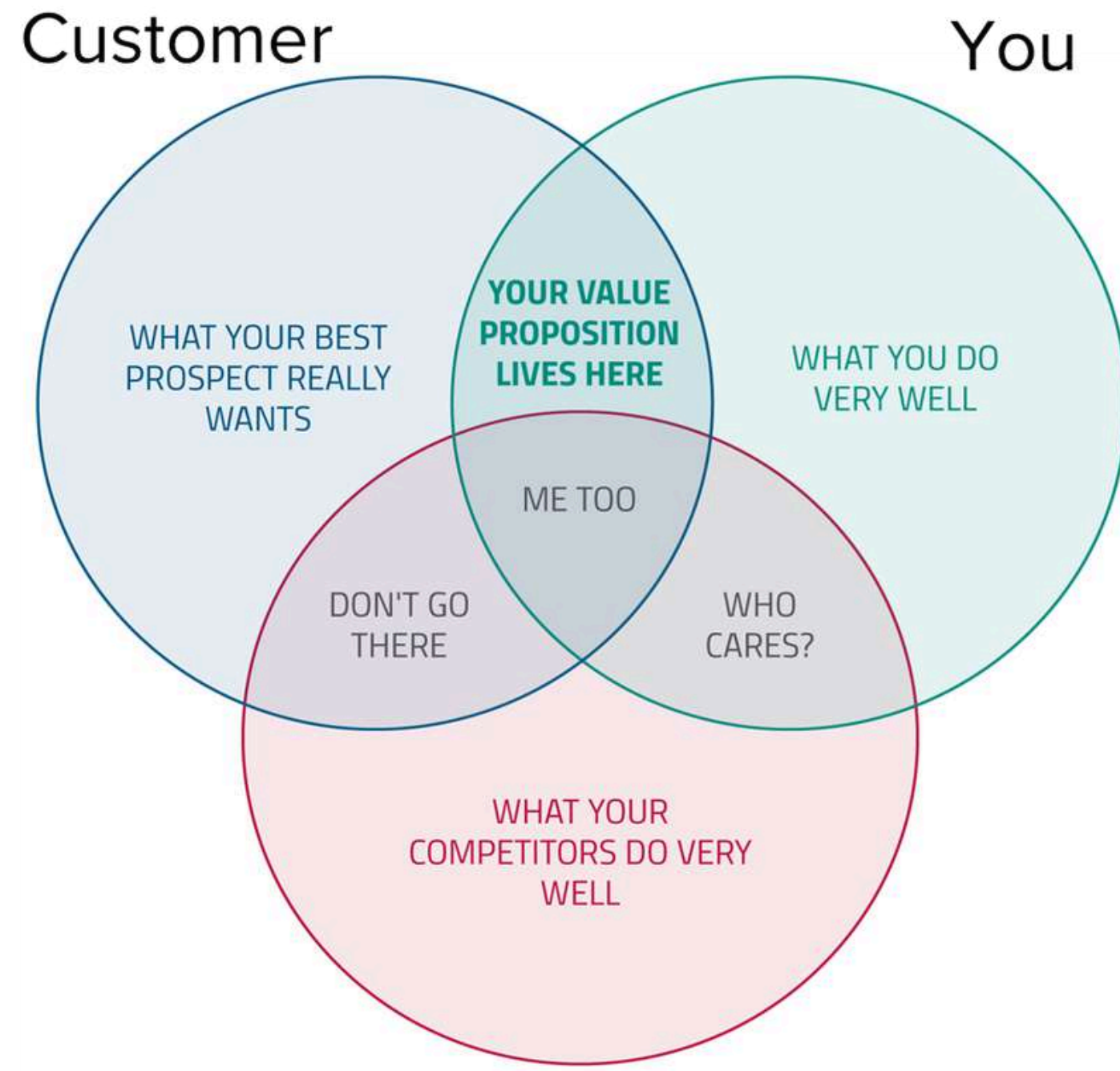


Value Propositions



Value Propositions

Your customer perceives the value of your solution because it solves their problem better than other options.



Value Propositions

There could be different types of value, for instance:

Newness: Meeting a new or unaddressed customer need

Customization: Tailoring of products and services to meet specific customer requirements

Design: Excelling in design; this usually applies to product-based companies

Brand/Status: Satisfying a customer's need for exclusivity and/or pristine quality

Price: Offering products or services at competitive prices

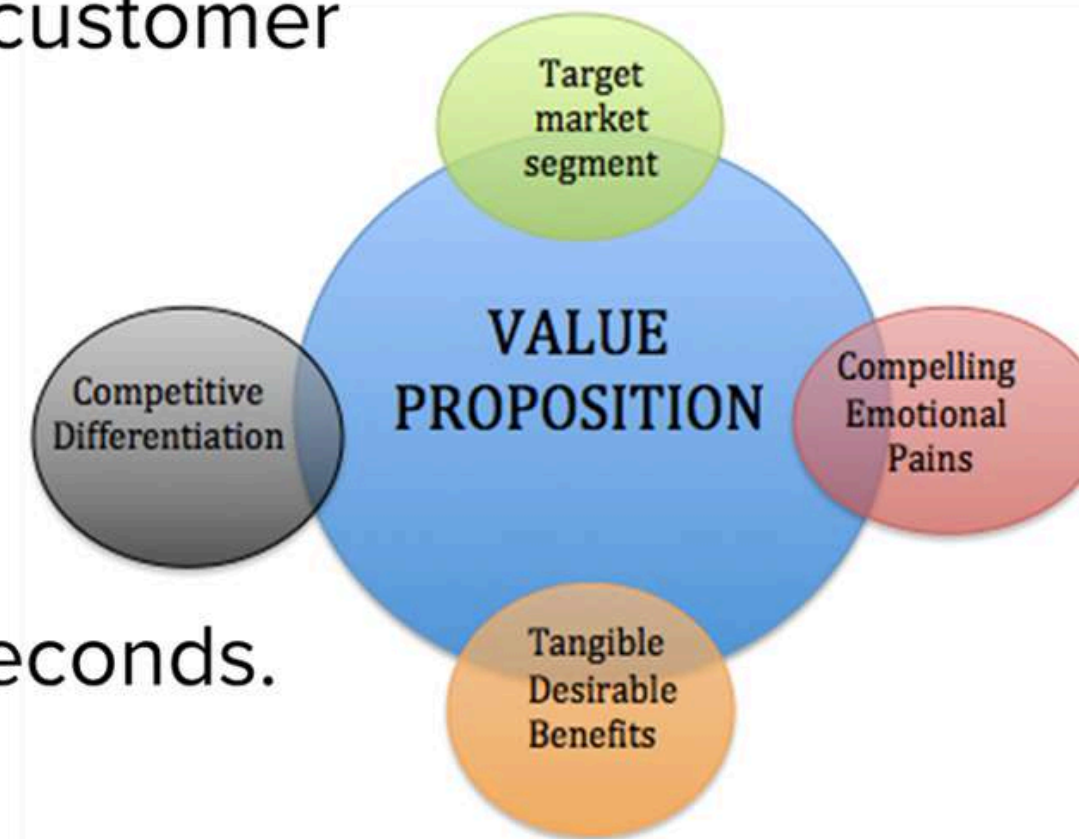
Value Propositions

**Value Proposition =
a strong solution fit to a
problem**



What makes a strong Value Proposition

- Clarity
- Concrete results for the customer
- Differentiation
- It avoids hype
- It can be read and understood in about 5 seconds.



What makes a strong Value Proposition

There could be different types of value, for instance:

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Design: Excelling in design; this usually applies to product-based companies

Brand/Status: Satisfying a customer's need for exclusivity and/or pristine quality

Price: Offering products or services at competitive prices

Value Proposition: Lemonade Stand

We help _____(target customer)

_____ (statement of the need)

So they can _____ (customers goal)

Unlike _____ (substitutes)

_____ (product/service name)

_____ (unique capability)

Value Proposition: Lemonade Stand

Seneca
POLYTECHNIC



Value Proposition: Lemonade Stand

We help families with young children in High Park (target customer)

who have thirsty children (statement of the need)

So they can keep the children happy and healthy (customers goal)

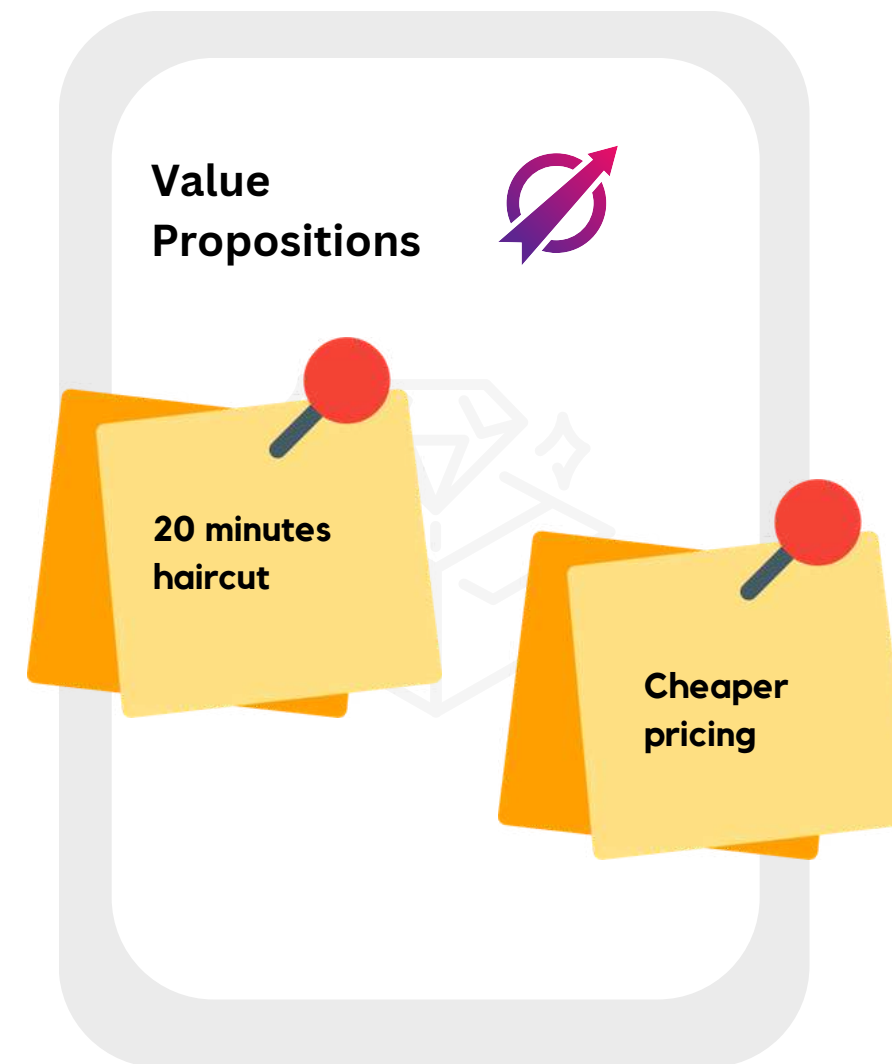
Unlike soft drinks (substitutes)

our cold, natural, homemade (product/service name)

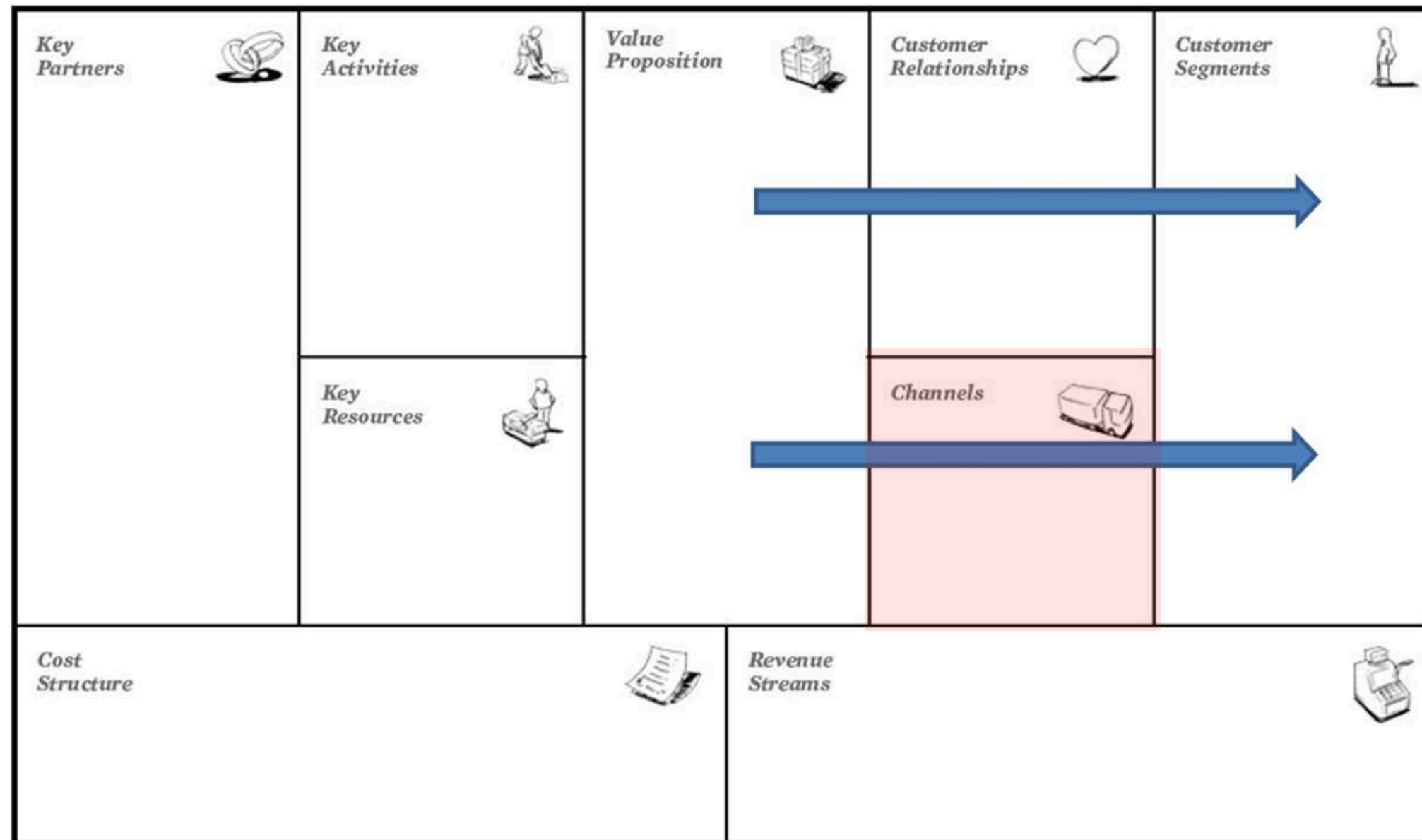
quenches thirst, tastes great and supports a good cause (unique capability)

Value Proposition: Barber Shop

- What value do we deliver to our customers?
- Which one of our customer's problems are we helping solve?
- What customer needs are we satisfying?



Customer Channels



Customer Channels

When considering channels, keep different communication phases in mind:

Awareness: How do you make customers aware of your product/service?

Evaluation: How do you allow customers to evaluate your product/service?

Purchase: How do you facilitate purchasing for your customers?

Delivery: How do you deliver the product or service to your customers?

After sales: Are you providing any after sales services that your customers expect to receive?

Customer Channels

A touch-point with big impact
on customer awareness & experience.

3 Channels:

- Marketing
- Sales
- Distribution

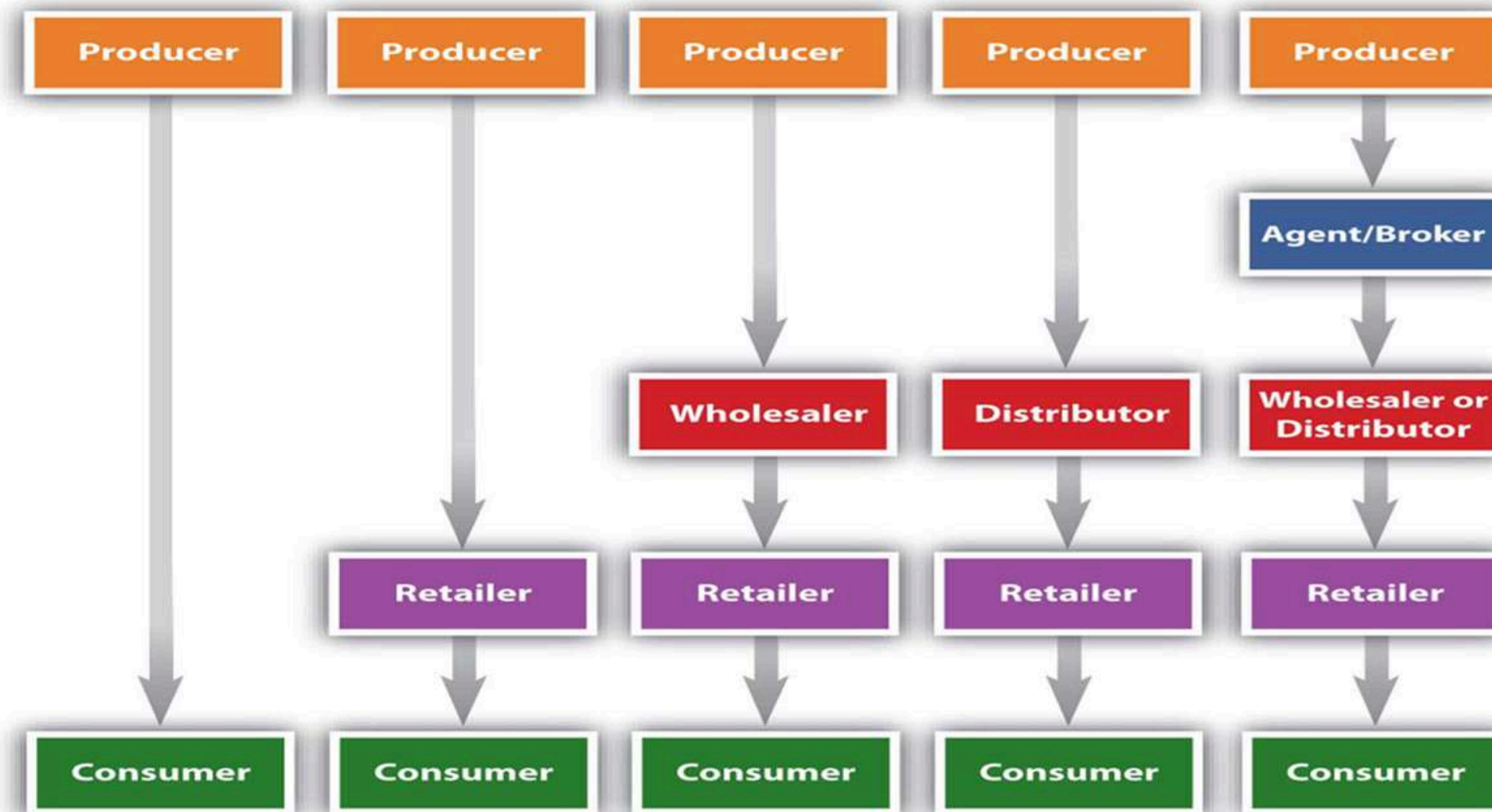
May be distinct for each segment.



Customer Channels

Who makes the sale?	Direct <i>You make the sale</i>	Indirect <i>Others make the sale</i>
Web Distribution Channels	Your Company Website	E-Commerce Sites App Platforms 2-step Distributions Aggregators Social Commerce Flash Sales
Physical Distribution Channels	Direct Sales	OEM Distributors Dealers, Retailers Value Added Resellers System Integrators

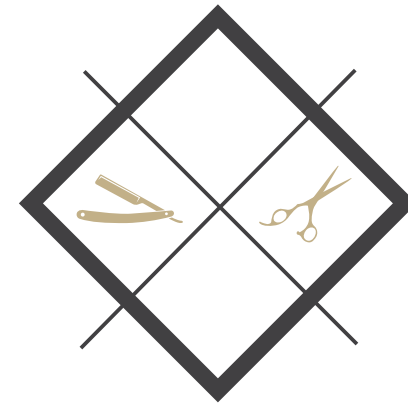
Channels to the Customers



Customer Channels

Distribution
Channels





A **barbershop** specializing in buzz cuts and shorter hairstyles for individuals who want a quick, high-quality grooming experience, *guaranteeing a haircut in under 20 minutes.*

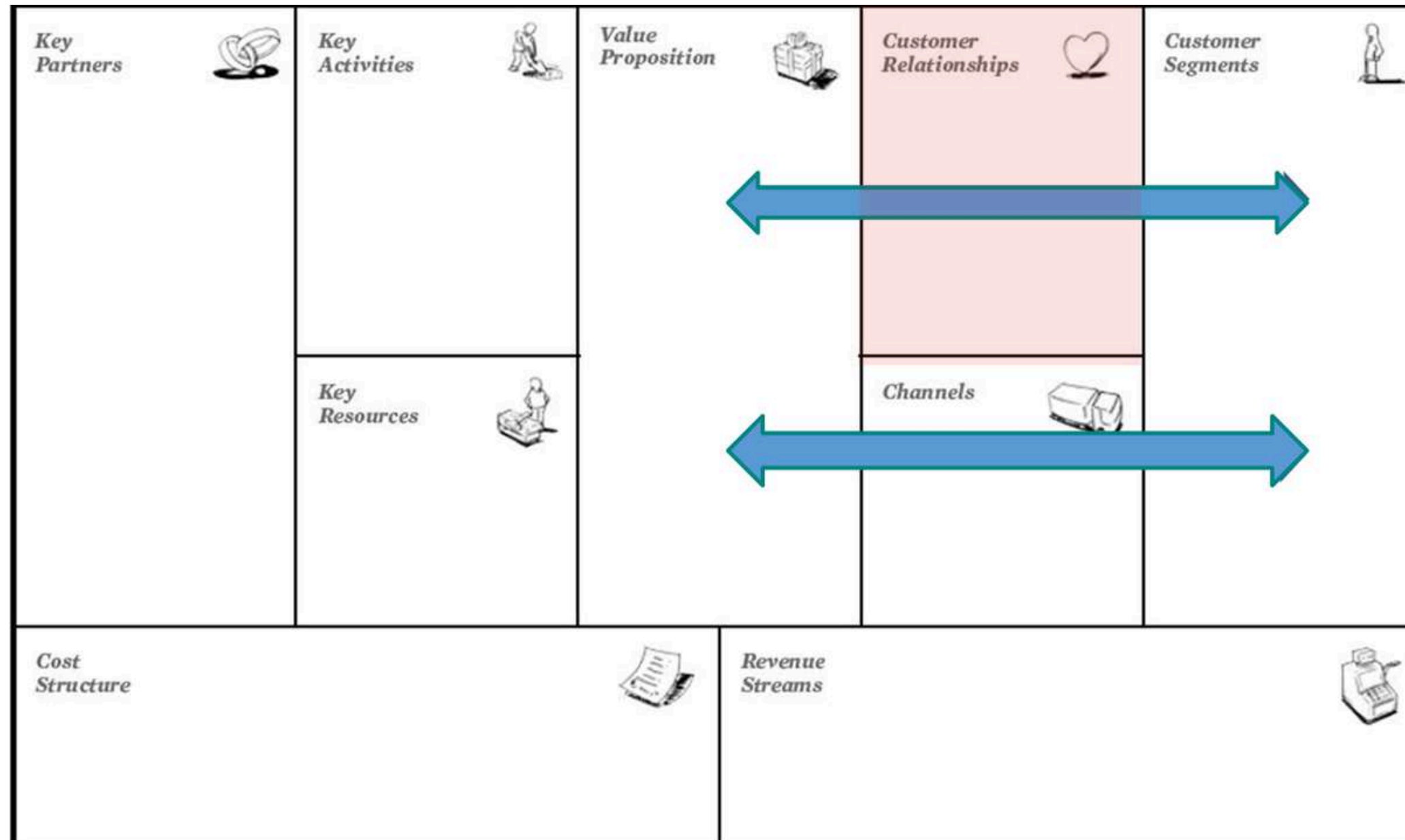


Customer Channels

- How will we reach our customers?
- What works best?
- Which are the most expensive, and most cost-efficient?



Customer Relationships



Customer Relationships

Describes the types of relationships a company establishes with specific customer segments.



Customer Relationships

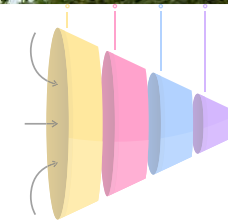
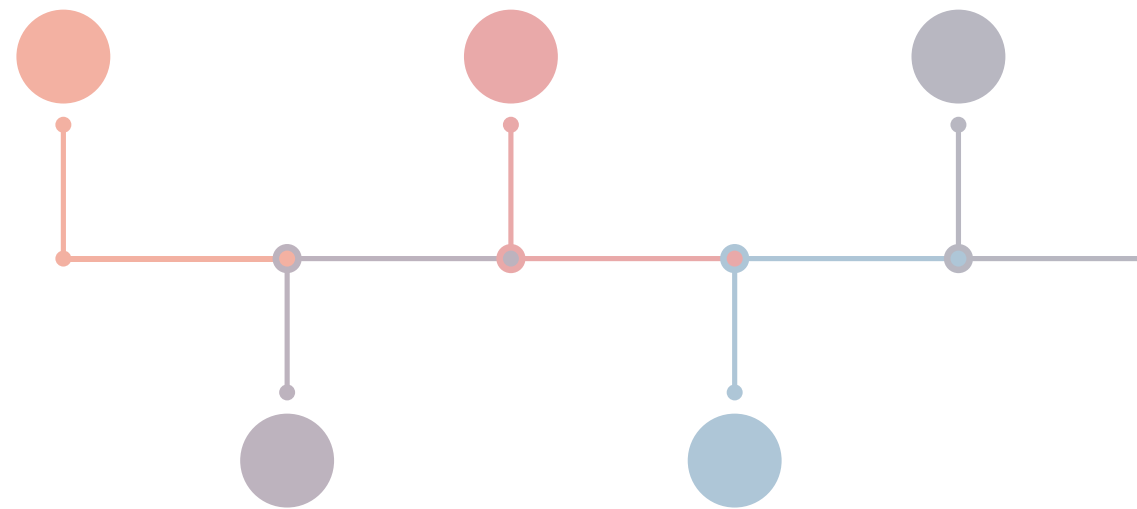
Different types of relationships include:

Personal assistance:

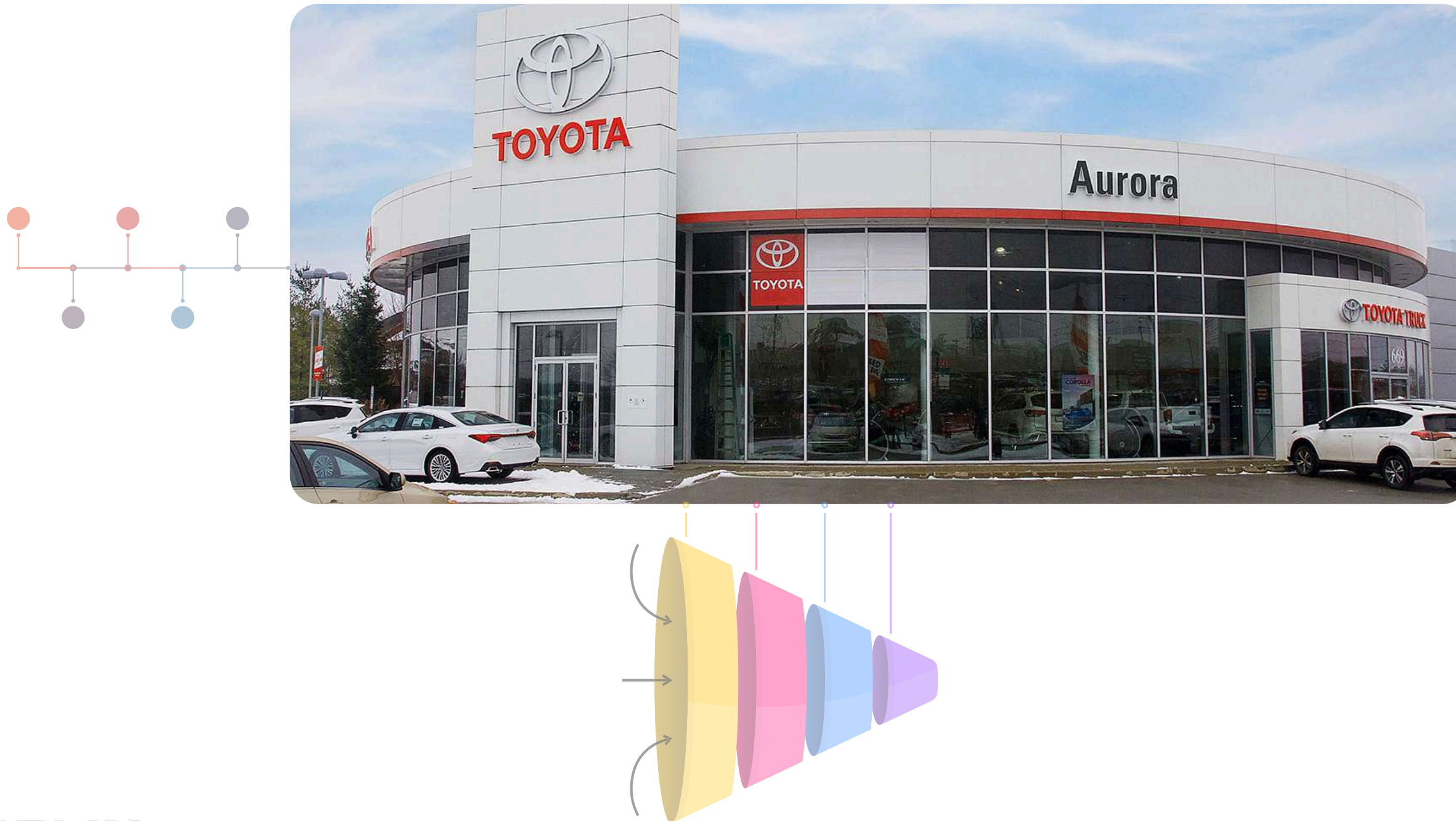
Human interaction with customer representative through any number of mediums (email, face to face, online)

Minimal/self-service: Little to no contact is kept with customers, but they are provided with the means to help themselves

Customer Relationships

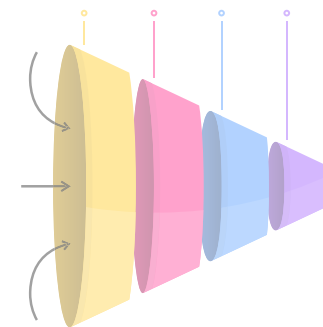
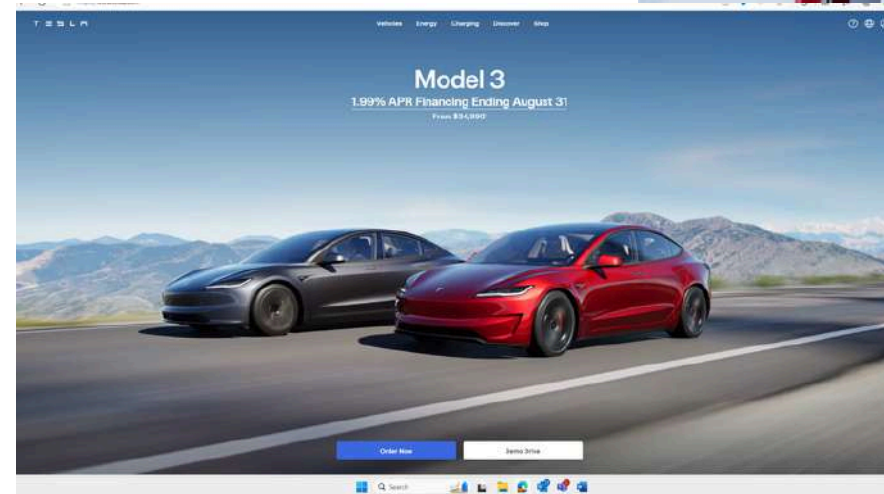
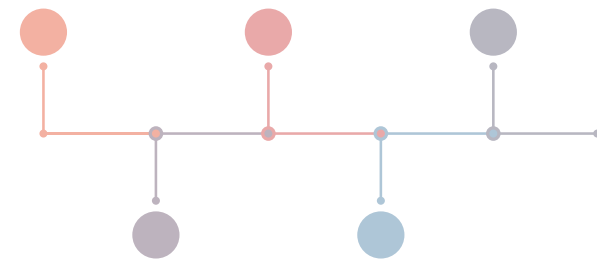


Customer Relationships



Customer Relationships

Power of Branding



Customer Relationships B2C

B2C Relationship	Examples
Personal Assistance	Retail stores, insurance and investment
Self-Service	Online retail, cafeterias
Communities / co-creation	Facebook, LinkedIn, Amazon, Good Reads
Brand loyalty / Lovemark	Apple

Customer Relationships B2B

B2B Relationship	Examples
Project partner in success	Integrated solution & outsource vendors
Pay as you go	Service providers, SaaS vendors
Commodity services	Utilities, materials
Long term service partners	Top law, accounting, insurance firms

Customer Relationships

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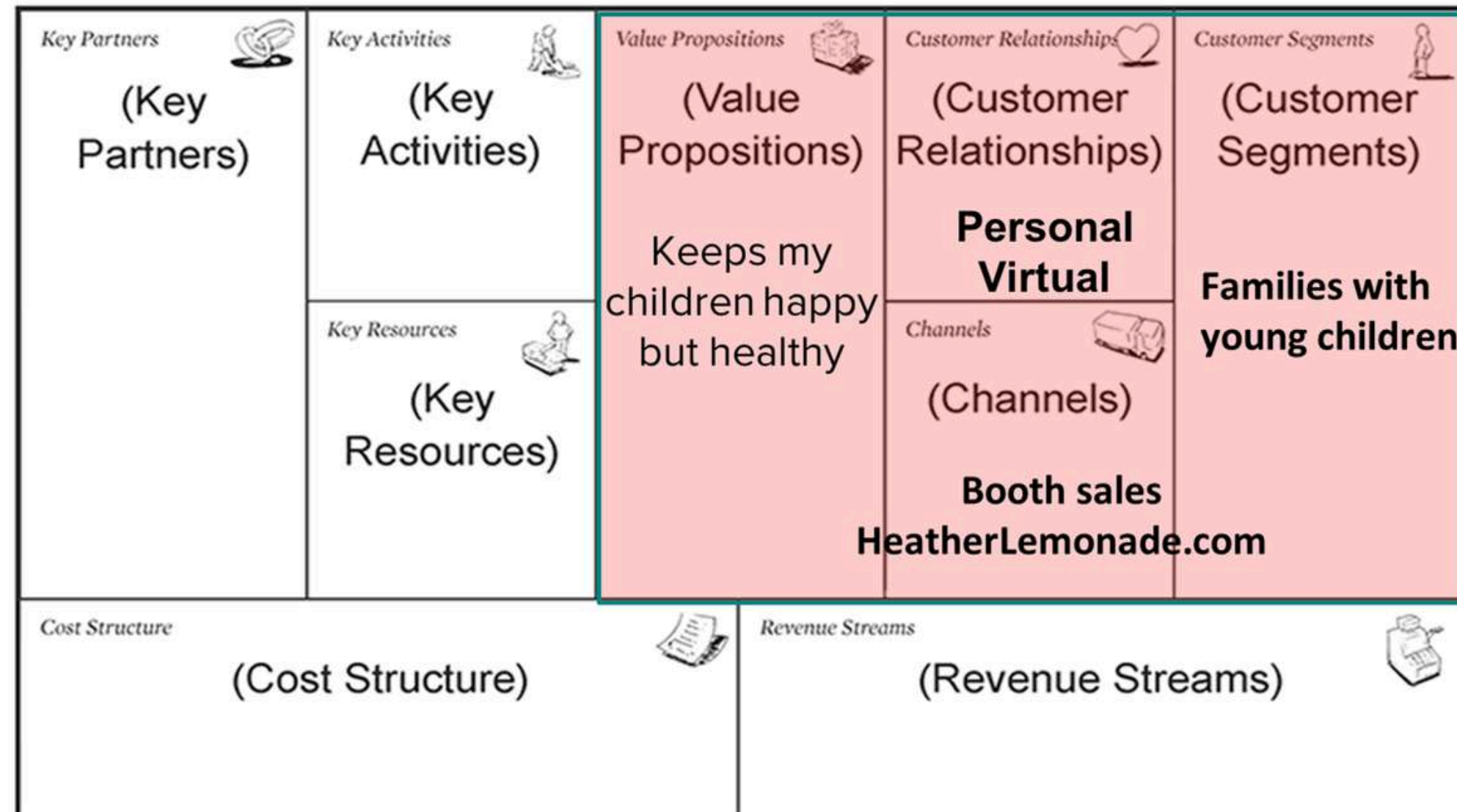


Customer Relationships

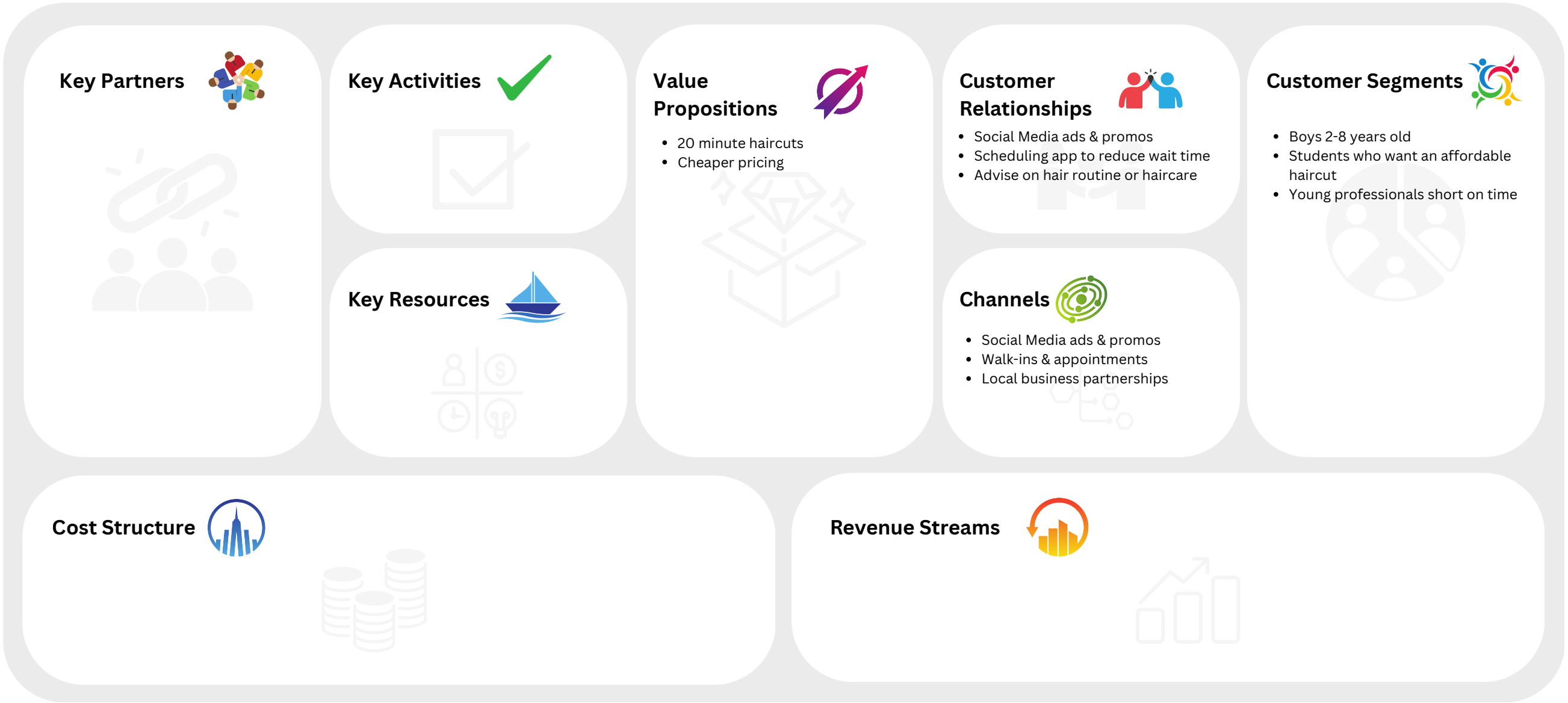
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- Which ones have we established?
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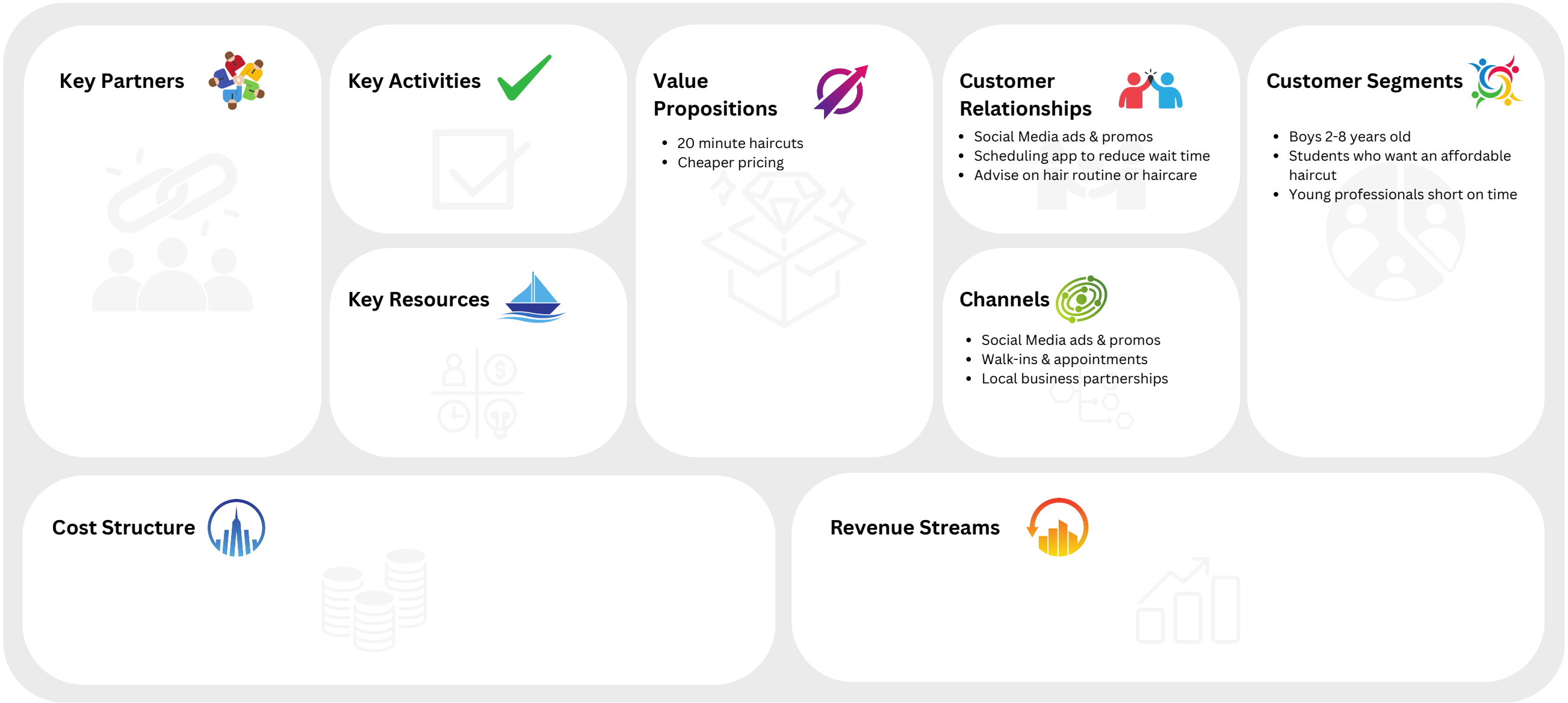
Customer Relationships

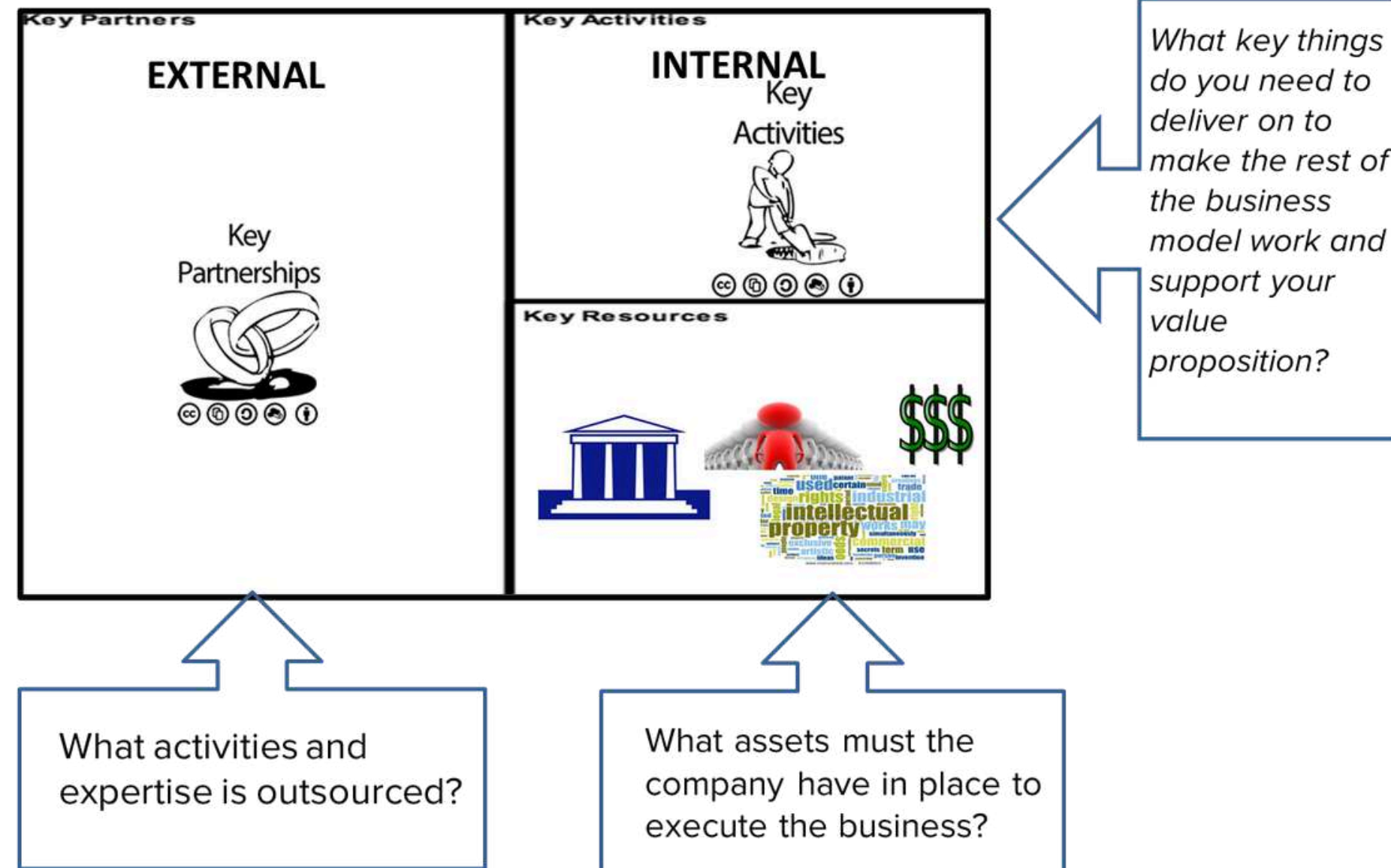


Customer Relationships



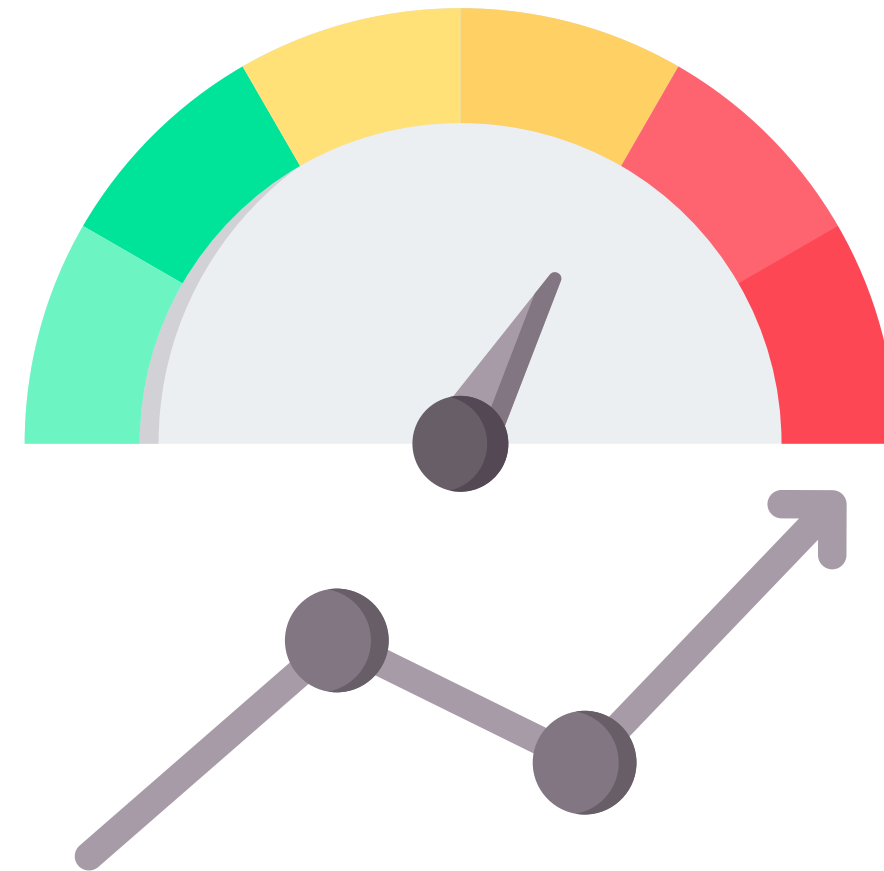
Customer Relationships





Key Activities

- Design
- Research
- Product Development
- Manufacturing
- Accounting & Finance
- Sales
- Marketing



Key Activities

Consider the different types of activities:

Production: Usually present in product-based companies, and are usually related to product design, inventory planning, manufacturing, quality control & delivery

Problem-solving: Usually present in service-based companies. Includes knowledge management, professional development and customer support

Platform/network: Creating, maintaining and promoting a technology platform

Key Activities

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Key Activities



A **barbershop** specializing in buzz cuts and shorter hairstyles for individuals who want a quick, high-quality grooming experience, *guaranteeing a haircut in under 20 minutes.*



Key Activities

- What *Key Activities* does our value require?



Key Resources

Consider the different types of resources:

Physical: land, inventory, equipment

Human: employee development and retention

Financial: assets, cashflow, capital funding

Intangible: networks, brand, reputation, intellectual property

Key Resources

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POLYTECHNIC



Key Resources

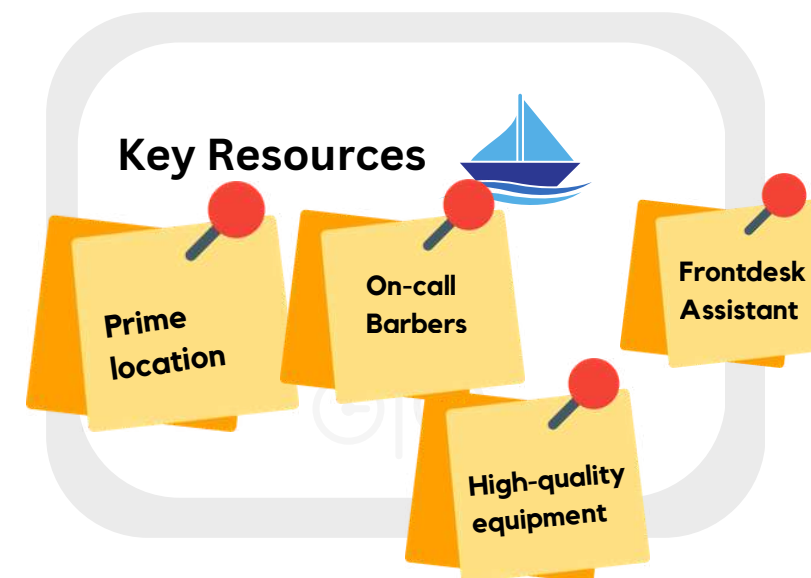


A **barbershop** specializing in buzz cuts and shorter hairstyles for individuals who want a quick, high-quality grooming experience, *guaranteeing a haircut in under 20 minutes.*



Key Resources

- What *Key Resources* does our value require?



Key Partners

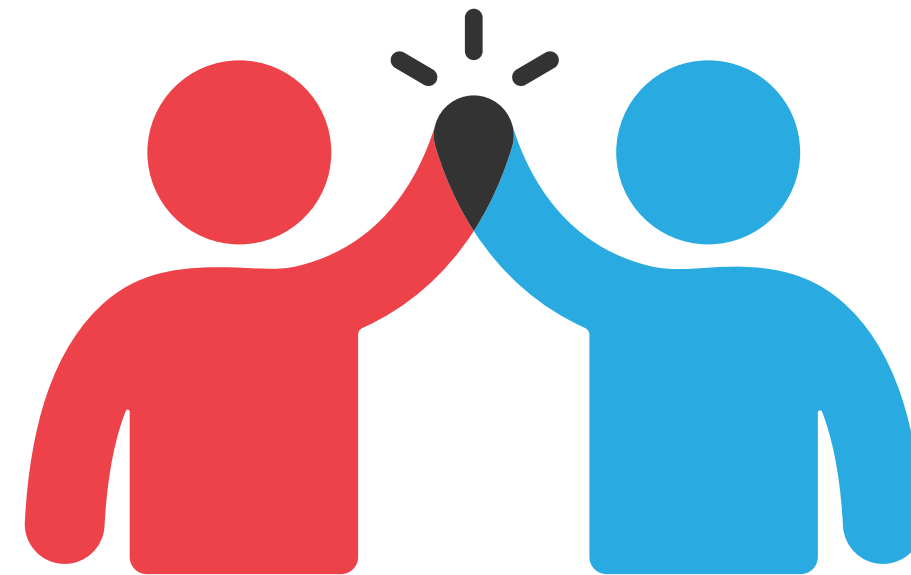
Class Activity

Why work with partners?



Key Partners

- Faster to Market
- Broader product offering
- More efficient use of capital
- Unique customer knowledge or expertise
- Access to brand
- Access to new markets



Key Partners

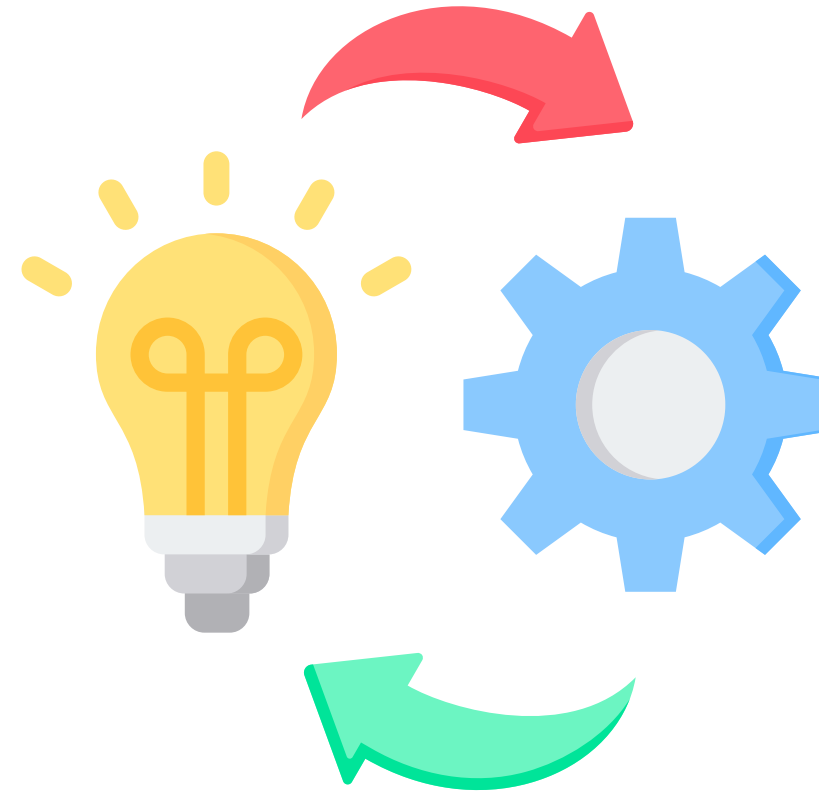
Find the partners who give you an **UNFAIR ADVANTAGE.**



Find partners who help you execute your Business Model

Operational Partnerships

- Outsourcing
- Manufacturing
- Supply Chain
- Pick-Pack-Ship
- Back Office
- Financial
- Personnel
- Product Development
- Customer Service



Key Partnerships

Consider the different motivations for creating partnerships:

- Optimization of resources and economies of Scale
- Reduction of risk and uncertainty
- Acquisition of specific resources and activities



Key Partnerships

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Key Partnerships



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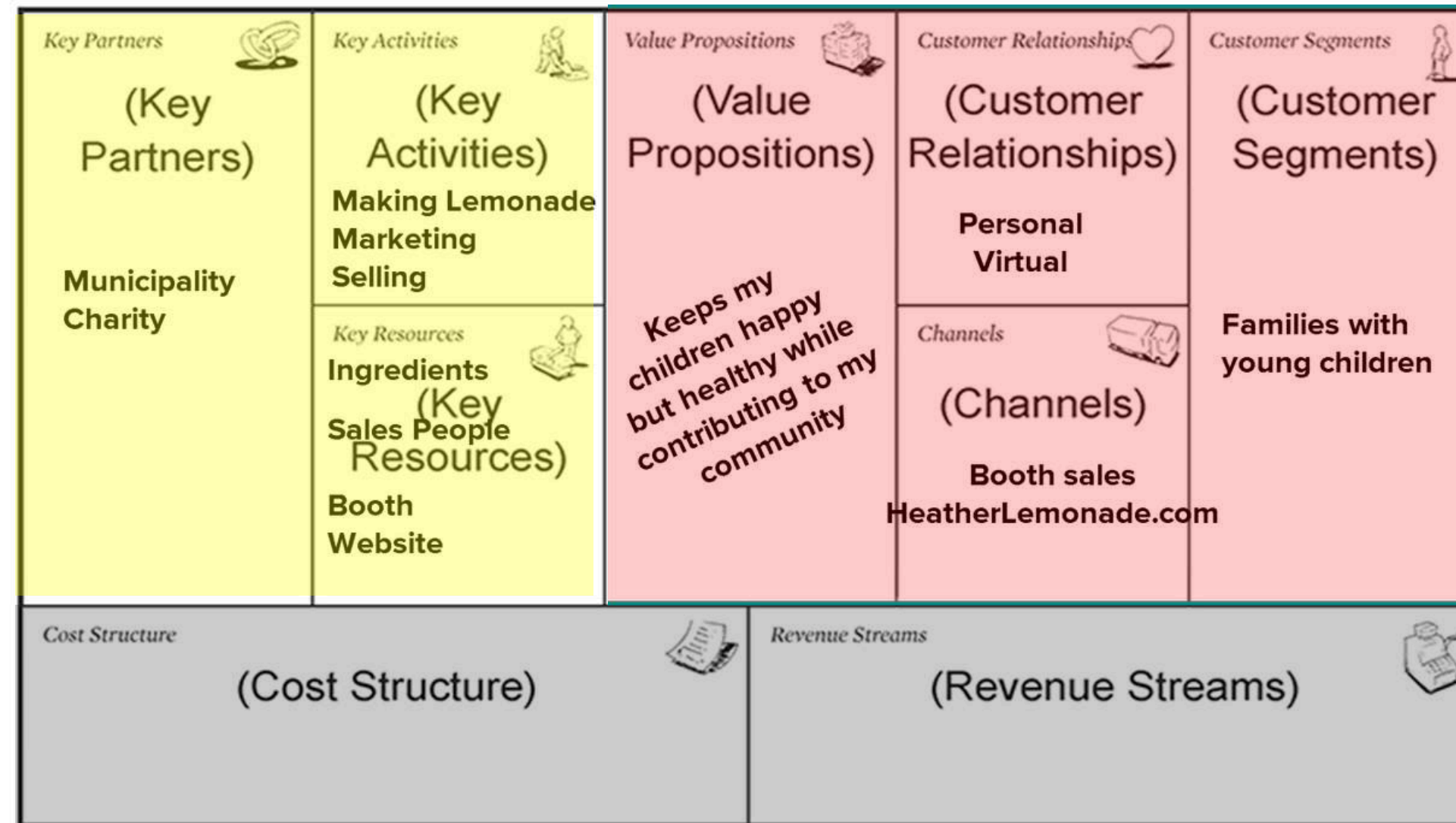


Key Partnerships

- Who are our Key Partners?
- What resources do we acquire?
- What activities do our partners perform?



Business Model Canvas

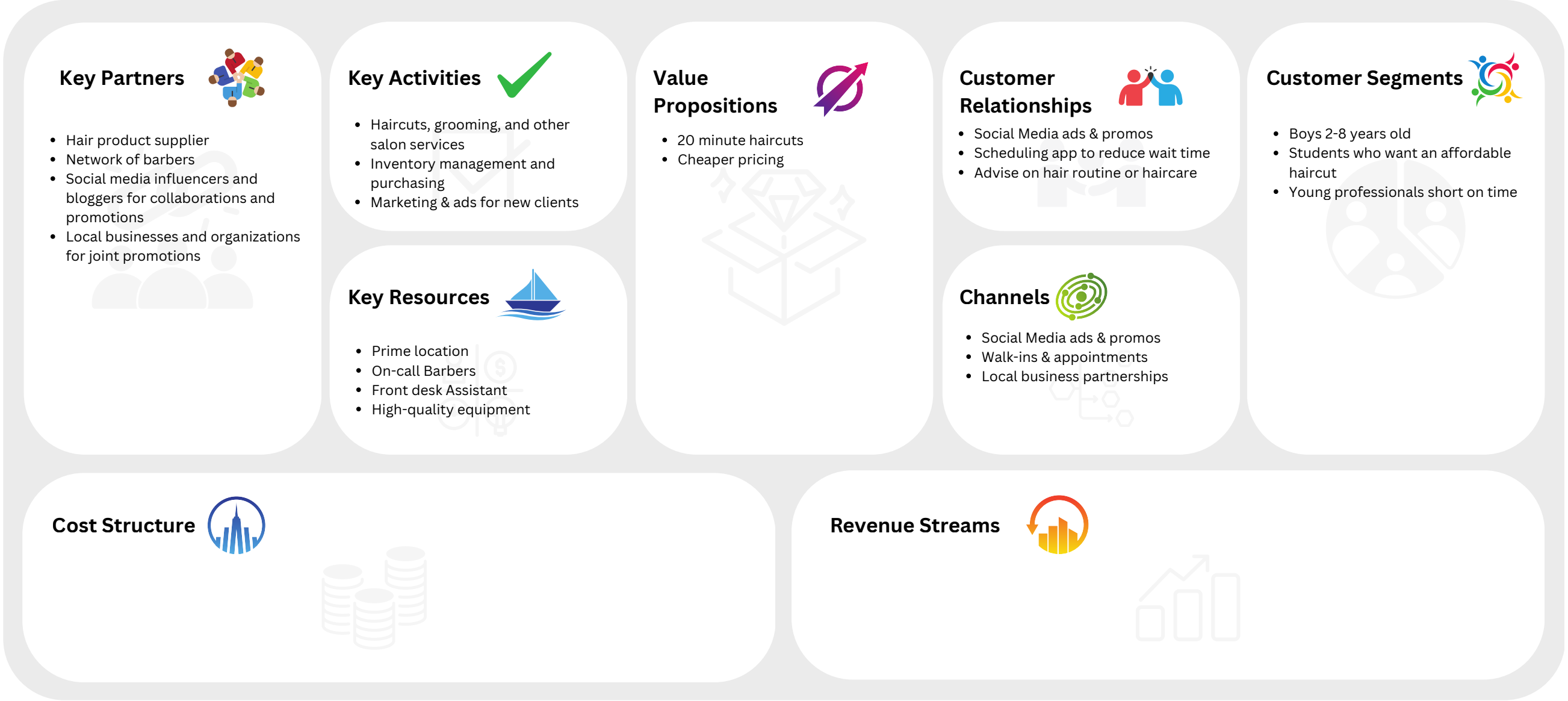


www.businessmodelgeneration.com

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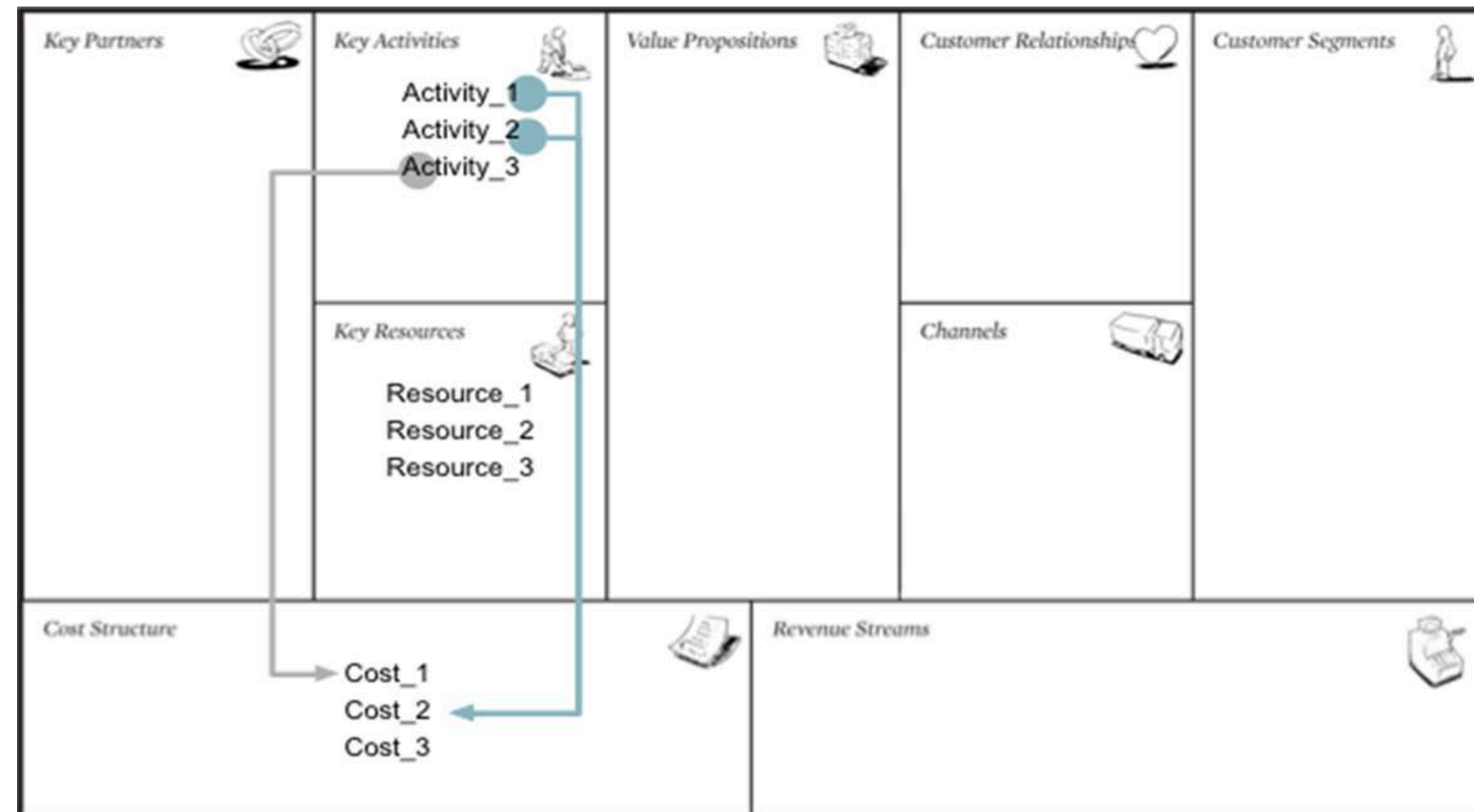
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Business Model Canvas



Cost Structure

Relationship between key activities and key resources to each cost.



Consider the different types of costs:

- Direct vs. indirect
- Cost of goods sold
- Human resources
- Production
- Marketing
- Distribution
- Legal/regulatory
- Utilities
- Transportation
- Taxes





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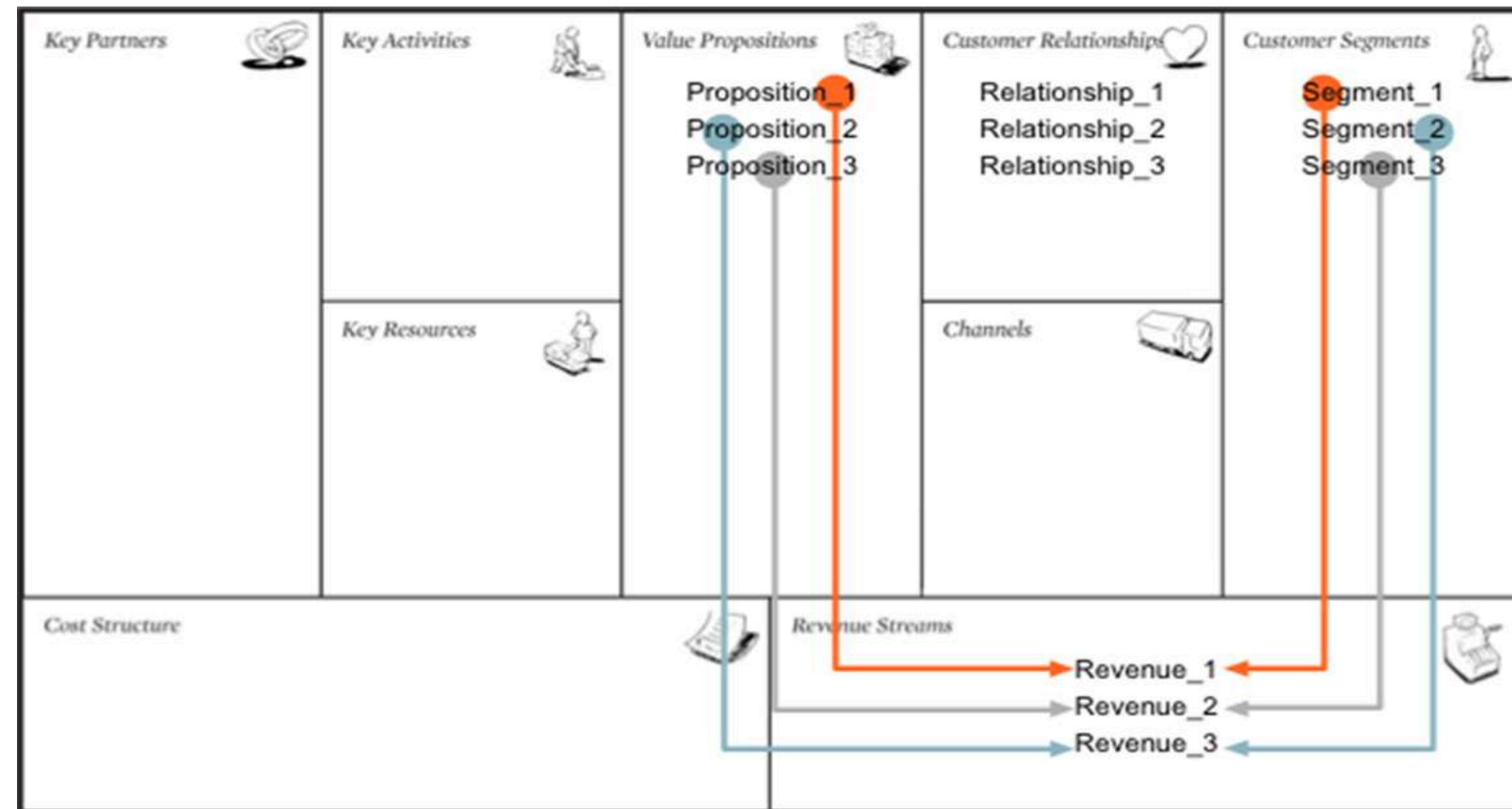


- What are the most important costs inherent in our business model?
- Where are the expenses coming from?



Revenue Structure

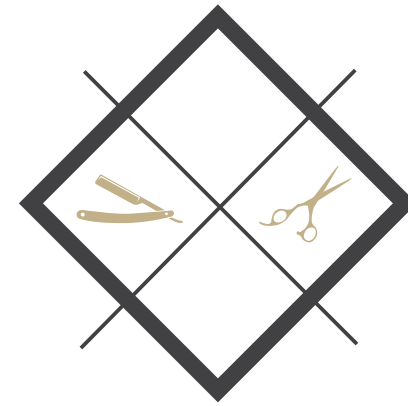
Relationship between
value proposition for each
segment to each revenue
stream



Consider the different types of revenue streams, and how much each revenue stream contributes to overall revenues:

- Asset sales
- Subscription fees
- Usage fees
- Licensing
- Brokerage fees
- Advertising
- Leasing
- etc.

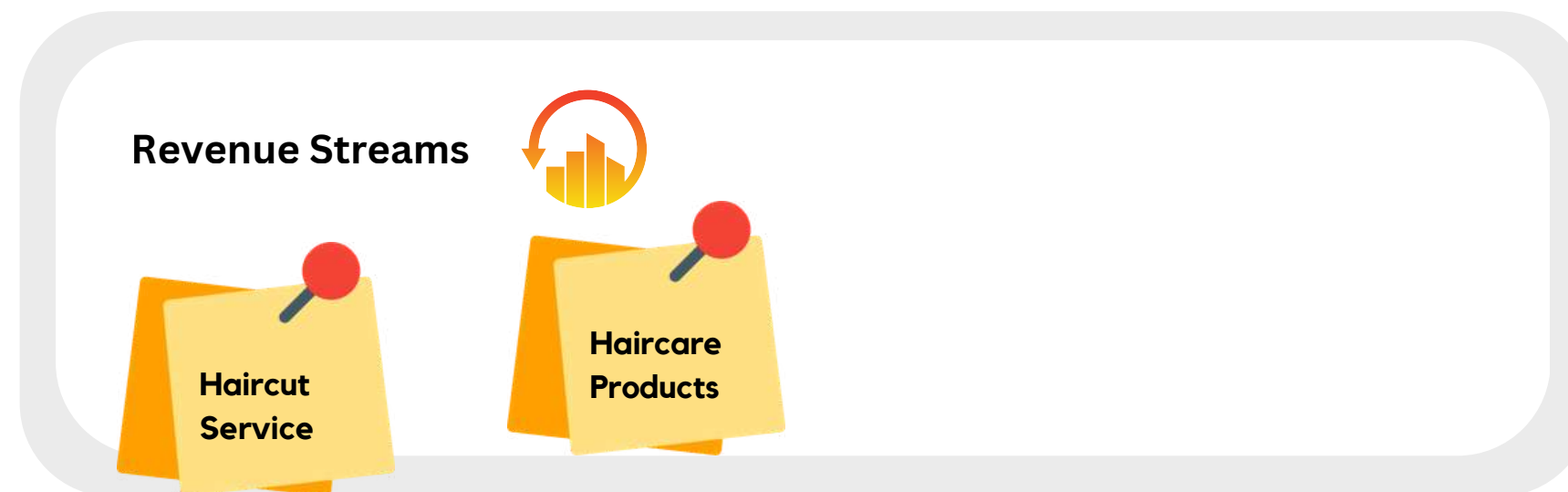




A **barbershop** specializing in buzz cuts and shorter hairstyles for individuals who want a quick, high-quality grooming experience, *guaranteeing a haircut in under 20 minutes.*



- For what value are our customers really willing to pay?
- For what do they currently pay?
- How do they prefer to pay?



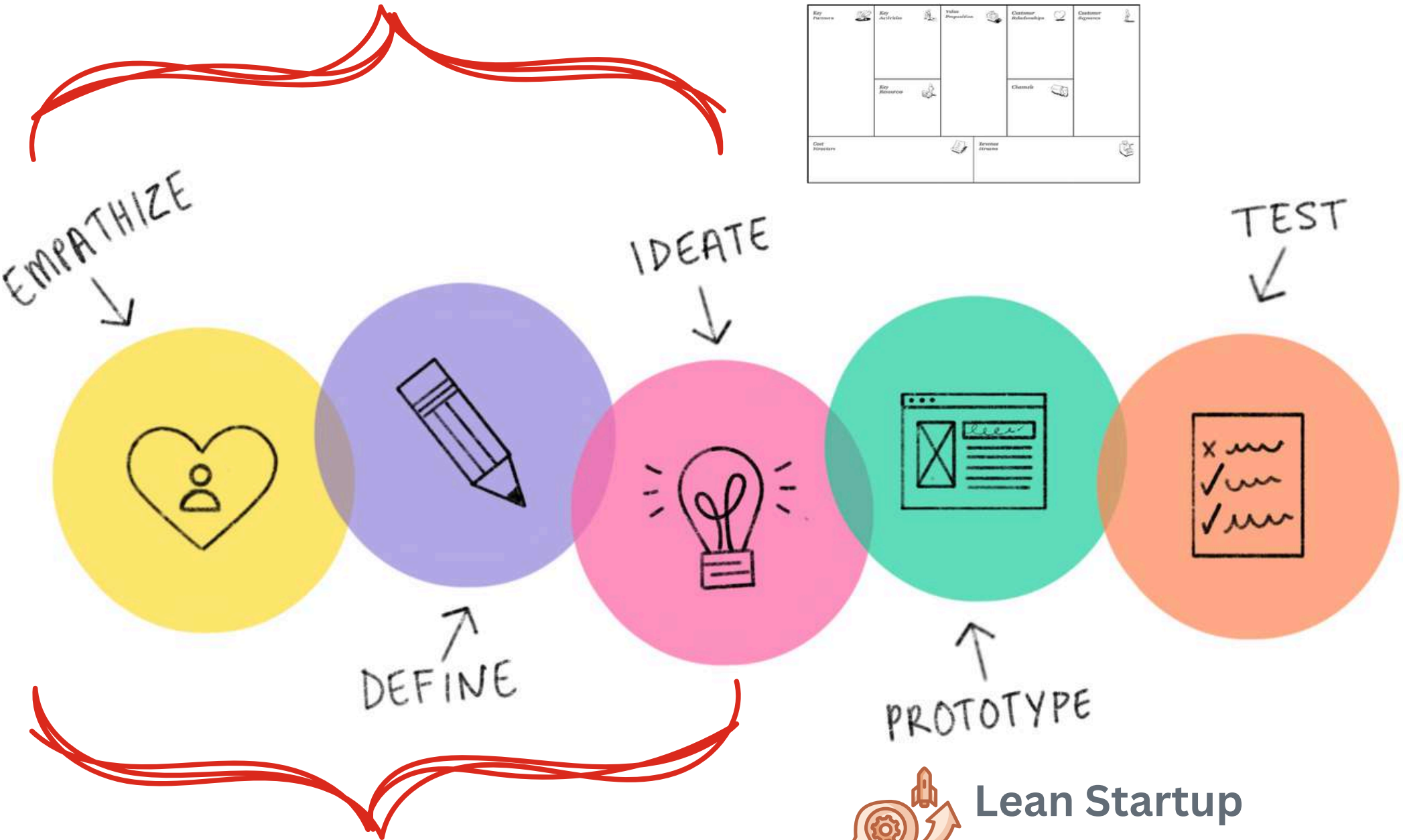
Question

What items can or should be changed to strengthen the business model or reduce its risk?

Business Model Canvas

Key Partners	Key Activities	Value Proposition	Customer Relationships	Customer Segments
	Key Resources		Channels	
Cost Structure		Revenue Streams		

 User Persona



 Problem Statements
and Market Research

 Lean Startup
Methodology

1. Brainstorm and create a list of 10 solutions for your selected problem. Feel free to use SCAMPER to create different variations of your solution or to modify existing solutions that don't work.
2. (OPTIONAL) Use an affinity diagram to group your ideas.
3. Create a mind map of your top 3 solutions. Create a minimum of 10 branches for each solution.
4. Use the Business Model Canvas workbook for your top 1 solution.

Submit your deliverables on Blackboard under Week 3 Deliverables.

Remember to submit Workbook 3 and PMReady Unit 3.